ECONOMIC SURVEYS

SPAIN

I. 2. b. 4

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS JULY 1965

BASIC STATISTICS OF SPAIN

THE LAND

Area (1,000 sq. km)	504.7
Agricultural area (1,000 sq. km)	208.3
Major cities (1960 census, thousands of inhabitants):	
— Madrid	2,260
— Barcelona	1,558
— Valencia	505
— Sevilla	442

THE PEOPLE

Population (1960 census: thousands)	30,903
Number of inhabitants per sq. km (1960)	61
Net natural increase (average 1958-63; thousands)	387
Net rate of increase per 1,000 inhabitants (average 1958-63)	12.7
Total labour force (1960 census: thousands)	11,634
— In agriculture	4,803
— In industry	2,749
— In construction	822
— In services	3,260

PRODUCTION

Gross national product 1964 (million pesetas)	1,062,904
GNP per head, 1964 (US $)	565
Gross domestic product at factor cost by origin in 1964 (percentages):	
— Agriculture	21
— Industry and construction	36
— Other	43

THE GOVERNMENT

Public consumption in 1964 (percentage of GNP)	8
Public investment in 1964 (percentage of total investment)	15
Current government revenue in 1964 (percentage of GNP)	12
Internal public debt (percentage of central Government current revenue 1963)	90

LIVING STANDARDS

Electricity final consumption (kWh per head) in 1964	713
Illiteracy rate in 1960 (percentage of people aged above 10)	13
Calories per head, per day (1962-63)	2,920
Annual meat consumption (kg per head, 1962-63)	23
Number of radio sets per 1,000 inhabitants in 1962	92
Number of private cars per 1,000 inhabitants in 1964	21
Number of telephones per 1,000 inhabitants in 1964	80

FOREIGN TRADE

Exports of goods and services as a percentage of GNP (Average 1963-64)	12
Exports (Average 1963-64: percentage of total exports):	
— Foodstuffs	46
— Raw materials	20
— Manufactured products	34
Imports of goods and services as percentage of GNP (Average 1963-64)	14
Imports (Average 1963-64: percentage of total imports):	
— Foodstuffs	17
— Raw materials	18
— Manufactured products	55

THE CURRENCY

Monetary unit: peseta.

Currency units per US $	60

ECONOMIC SURVEYS BY THE OECD

SPAIN

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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INTRODUCTION

Total output and demand continued to rise rapidly in 1964. In spite of less favourable harvests, the growth of the national product was of the order of 7 per cent. Both private consumption and fixed investment rose again appreciably and the process of modernisation of Spanish industry has clearly continued. The balance of payments remained in surplus and there was a welcome increase in industrial exports. The expansionary tendency of domestic demand and output was generally maintained up to the spring of 1965. However, important pressures on prices appeared in the course of last year and during the early months of 1965. Unless these are shortly eradicated they will risk jeopardising the success of the Development Plan — now in its second year of implementation — and could lead to a return to the inflationary conditions prevailing in Spain in the 1950's. The Government has accordingly taken certain measures aimed at re-establishing internal financial equilibrium.

The present Survey is devoted essentially to a discussion of the problems of short-term economic policy facing the Spanish authorities in mid-1965 and to the general problem of co-ordinating current policies with the longer-term objectives outlined in the Development Plan. It describes, in Part I, recent trends of the economy and the effects of the economic policies applied in 1964. Part II discusses short-term prospects, the recent corrective measures, and the problem of restoring internal financial stability. Part III examines certain aspects of a longer-term policy of sustainable growth. The main conclusions to be drawn from the analysis are set out in Part IV.

I. ECONOMIC DEVELOPMENTS IN 1964 AND EARLY 1965

a) *General Trends and the Role of Policy*

Over the last few years, the substantial expansion of demand has elicited very important increases in production. And average industrial productivity has risen considerably, helped by a high level of productive investment. But as the growth of domestic demand tended to accelerate,

the problem of maintaining a global equilibrium became progressively more important. Significant pressures on prices had momentarily developed in 1963, but subsequently diminished, partly because of very good harvests and partly because of certain moderate policy adjustments. When the Development Plan for 1964-67 was adopted, stipulating an increase in public investment and outlining measures to encourage private productive investment, it was clear that these developments would take place in a period when all the other elements of domestic demand were also tending to expand considerably. The continuing rise en foreign reserves indicated that no general restraint of demand was warranted. But the risk of imbalances in particular sectors called for selective action, such as the continued recourse to imports of essential foods to prevent the risk of starting a price-wage spiral, resumed liberalisation of imports of manufactures and steps to avoid new demand pressure on the construction sector[1].

All the main factors of demand continued to rise strongly throughout 1964, but policy changes have not been sufficiently prompt or adequately adapted to the changing requirements of the situation. Food imports were, in fact, reduced until the last months of 1964, and support prices for several agricultural products were raised substantially. Last November, a new but limited list of import liberalisation was published. And while the need to restrain the construction boom was officially recognised and certain decisions were taken to that effect, it was the measures approved in April to June 1965 which are likely to yield direct and speedy results.

The combined effect of autonomous trends in the economy and of the policies applied last year was an appreciable increase in total output, but a considerable degree of price inflation. The strong rise in exports of goods and services, and the simultaneous pursuit of policies limiting the growth of imports, produced a small external surplus on current account (including unilateral transfers) compared to a deficit of the order of $200 million in 1963. In other words, the net inflow of resources from abroad — which probably exceeded 1 per cent of the national product in 1963 — disappeared, although domestic demand was expanding rapidly. Moreover, higher capital receipts from abroad led to an increase of official reserves in 1964 by $313 million (compared to a rise of $85 million in 1963) with a consequent strong expansionary impact on domestic liquidity.

The effect of these developments was particularly pronounced in food prices and construction costs. But there are indications that more general price and cost pressures are operating. The corrective measures which the authorities started taking towards the end of 1964 and the recent additional measures are discussed in Part II.

1. See the OECD Survey on Spain published in 1964.

b) *The Growth of Output*

The harvests of 1964 were on the whole less favourable than the year before; in particular, there were important declines in cereals and olives. For meat and dairy products, the approximate stability of the provisional production index resulted from increases in meat slaughterings offset by declines in other products (see Statistical Annex).

TABLE 1. INDICES OF OUTPUT

Percentage increases.

	1963	1964[1]
A. INDUSTRY[2]:		
1. Mining	1.5	0.6
2. Manufacturing	12.3	11.3
3. Electricity, gas, water	11.7	13.7
4. Construction and public works	9.5	15.4
5. Total	11.4	11.6
	1963-64	1964-65[1]
B. AGRICULTURE:		
1. Final vegetable production	11.7	—15.5
2. Final animal production	21.7	—0.3
3. Total: final agricultural production	15.4	—9.5

1. Provisional estimates.
2. Coverage different from that of the indices of industrial production in Table 2.

Sources: A. Ministry of Industry: Informe Sobre la Coyuntura Industrial 1964.
B. Ministry of Agriculture: La Agricultura Espanola en 1964.

Industrial production continued to increase fast last year. With the notable exception of textiles, output rose considerably in practically all manufacturing industries. Iron and steel, construction materials and inorganic chemicals were among the branches showing the largest increases. The substantial expansion[1] of car output (by some 50 per cent, up to about 120,000 units) and of electrical household durables (by about 30 per cent) illustrate the rapid spread of consumption patterns similar to those prevalent in more highly industrialised countries. From the information available for the early months of 1965 industrial output seems to have generally maintained a satisfactory rate of growth, though it was somewhat less buoyant in certain sectors. The increase in electricity consumption (by 10.3 per cent in the first five months compared to 11.4 per cent for January-May 1964) and the business surveys (up to April) point to a continuing expansionary tendency.

1. Some important industrial statistics have recently been revised, so that the rates of increase should be considered as approximate (cf. Statistical Annex).

TABLE 2. INDUSTRIAL PRODUCTION INDICES[1]

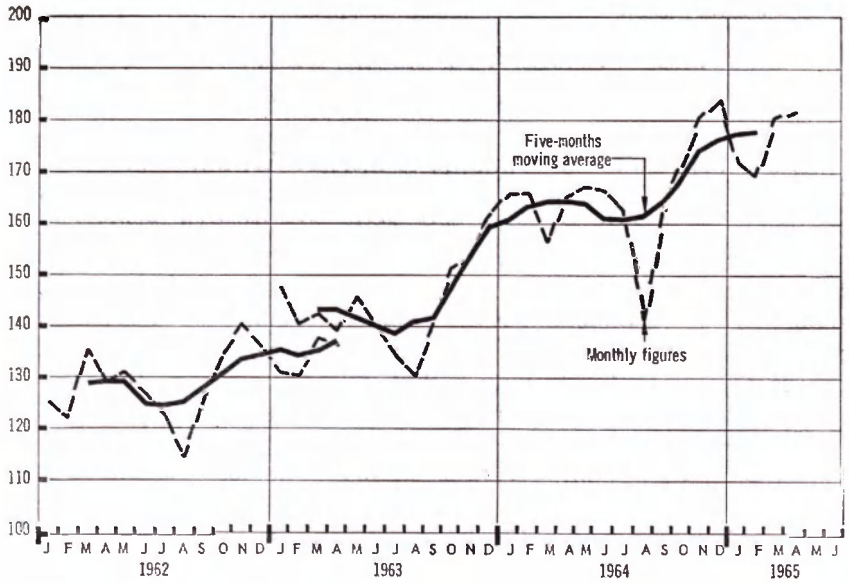
Monthly average 1960 = 100.

	WEIGHTS	1963	1964	PERCENTAGE INCREASES 1964
1. Food, drink and tobacco	16	116.2	130.1	12.0
2. Textiles	16	125.8	131.7	4.7
3. Basic metals	7	151.2	172.5	14.1
4. Engineering and transport equipment	18	172.2	223.2	29.6
5. Chemical and petroleum products	10	151.7	169.1	11.5
6. Other manufacturing industries	20	150.3	170.1	13.2
7. Manufacturing (Total)	86	144.1	166.4	15.5
8. Mining	8	97.1	94.7	—2.5
9. Electricity and gas	6	137.5	155.7	13.2
10. GENERAL INDEX	100	140.3	160.5	14.4

1. Revised series as from January 1963.
Source: Indicadores, National Institute of Statistics.

Diagram 1. **INDEX OF MANUFACTURING PRODUCTION[1]**

1960 = 100



1. Revised series as from January 1963.
Source: Indicadores Economicos, National Institute of Statistics.

Construction activity remained very high. The temporary measures taken in 1963 to slow down the issue of permits for State-supported housebuilding had not produced the desired effects. Registration with the Ministry of Housing of new requests for dwellings with no control on sale price had been suspended for about five months. But approval of pending requests — with the corresponding financial commitments — continued, so that the total number of plans approved rose by 30 per cent. There was a further increase of 30 per cent in 1964, when plans for nearly 400,000 dwellings were approved; this figure should be compared with a completion capacity of the building industry in the range of 250,000 dwellings a year. The number of State-supported dwellings completed rose rapidly; and the category ("renta limitada", 1st group) which it was intended to discourage showed the highest rate of increase during the last two years. Allowing for the small number of houses built without any kind of public financial support, total completions in 1964 were of the order of 250,000, which was the target laid down for 1970 in the long-term housing plan; the 1965 target of the Development Plan was exceeded by more than 50 per cent. The volume of non-residential construction and public works also increased last year, largely owing to the planned rise in public investment. As a result, strains in the construction sector became more pronounced, with further price increases for materials (which were limited, however, due to higher imports), increasing delays and bottlenecks and scarcity of skilled labour — not to speak of an excessively rapid rise in the price of land.

TABLE 3. **HOUSEBUILDING**

	1960	1961	1962	1963	1964
State-supported housebuilding:					
1. Requests submitted to Ministry of Housing		210,085	215,781	312,609	273,492[1]
2. Requests approved		172,676	228,972	301,488	393,984
3. Dwellings completed:					
a) Renta limitada, 1st group	26,692	26,131	24,453	33,870	57,668
b) Other groups	91,077	95,771	123,380	154,015	173,536
Total	117,769	121,902	147,833	187,885	231,204
Private housebuilding[2]					
4. Dwellings completed	11,631	13,544	14,612	18,818	25,689
5. (= 3 + 4) Total dwellings completed	128,400	135,446	162,445	205,703	256,894
6. Targets of long-term housing plan (1961-1976)	—	125,085	139,603	150,518	162,144

1. January-October.
2. Dwellings financed exclusively with private funds. Approximate estimates by the Ministry of Housing (usually 10 per cent of State-supported housebuilding).

Source: National Institute of Housing.

c) ***Demand Factors***

With expanding employment outside agriculture[1] and substantial wage rises, consumers' expenditure has certainly increased considerably in value. Its volume increase was probably also appreciable, despite the rise in prices. At current prices the provisional accounts for 1964 show an increase of 14 per cent, compared to rises of 23 per cent for fixed investment in construction and public works and of 16 per cent for fixed investment in other sectors; they also indicate a greatly reduced stock accumulation (partly due to lower harvests) and a 13 per cent rise for GNP. As pointed out in previous OECD Surveys, there are great difficulties in interpreting the existing national accounts. One of the difficulties in the past has been the fact that all the main elements of demand were being deflated by the same implicit price index, which was not consistent with the known development of prices for different categories of goods and services. This method is now being changed and the preliminary results indicate, for 1964, a volume increase of private consumption of between 6 and 7 per cent — slightly less than the growth of GNP — and a rise of total fixed investment by around 15 per cent at constant prices.

Public consumption also increased significantly in 1964. And, as stated earlier, both private and public demand for construction in general expanded strongly. Furthermore, commodity exports increased by 25 per cent and expenditure by foreign tourists showed new substantial gains.

Most important from the point of view of economic development, fixed productive investment probably continued to grow rapidly. This is corroborated both by production and import statistics of investment goods. The latter suggest some flattening out of the trend during the second half of 1964, but a renewed expansion in the early months of 1965 (Diagram 5). Furthermore, the value of import licences for machinery up to May was 20 per cent higher than a year ago. It is hazardous to draw inferences about the trend of investment from global credit statistics, but the considerable expansion of credit to the private sector probably reflects a continuing high rate of activity; and it is difficult to see any reasons why the inducement to investment might have decreased significantly.

d) ***Prices and costs***

The excessive rise of prices can be seen from Table 4. The sharp increases during the second half of 1964 and the first quarter of 1965 can

1. According to estimates made by the new Incomes Office of the Institute of Statistics (which cover a wider field than the Indicators shown in the Statistical Annex) employment increased in 1964 by 3.8 per cent in manufacturing and by 10 per cent in construction.

only in small part be explained by seasonal factors. The substantial price increases of agricultural and food products have weighed heavily on the general price level. But prices of certain non-food items have also been rising considerably for a long time — notably consumers' prices for clothing; and the upward movement has become more widespread recently, as evidenced by the wholesale price increases for machinery and chemical products.

TABLE 4. **TREND OF PRICES**

	WEIGHTS	AVERAGE ANNUAL INCREASES			INCREASES DURING THE YEAR DECEMBER TO DECEMBER			LATEST SIX MONTHS (AT ANNUAL RATES)
		1962	1963	1964	1962	1963	1964	
WHOLESALE PRICES:								
1. Food, drink, tobacco	52	8.0	6.3	2.0	8.9	0.0	12.5	28.3[1]
2. Textile materials and products	13	2.5	0.4	3.6	—0.1	2.4	2.0	1.2[1]
3. Machinery, appliances & transport equipment	5	—0.7	—1.0	1.4	—1.7	0.0	3.7	5.1[1]
4. Metal products	3	1.1	4.1	4.1	5.6	—0.3	8.0	...
5. Fuel and electricity	9	1.9	2.2	2.1	3.5	1.6	2.6	...
6. Chemical products	6	—0.5	0.3	5.0	0.0	0.9	8.0	8.8[1]
7. Construction materials	4	2.2	8.9	3.4	5.2	7.6	3.5	2.9[1]
8. GENERAL INDEX	100	4.9	4.3	2.9	6.1	1.0	9.2	17.3[1]
"Special Groups":								
9. Agricultural products	34	7.4	6.4	0.7	9.6	—1.6	11.9	31.3[1]
10. Processed agricultural products	12	6.6	6.3	8.0	6.6	7.4	9.9	19.2[1]
11. Industrial products	30	0.9	1.5	3.0	1.9	2.2	4.6	5.7[1]
COST OF LIVING:								
1. Food	53	7.7	10.0	5.9	14.2	3.6	14.9	23.1[2]
2. Clothing	13	4.2	9.9	13.5	8.3	10.0	14.5	14.5[2]
3. Rent	5	6.3	4.4	3.4	6.2	2.9	5.1	12.8[2]
4. Household expenses	8	2.0	7.9	8.1	4.4	9.3	6.9	9.2[2]
5. Other goods and services	20	2.5	5.3	9.0	6.4	6.7	8.4	10.5[2]
6. GENERAL INDEX	100	5.7	8.8	7.7	10.6	5.4	12.7	18.1[2]

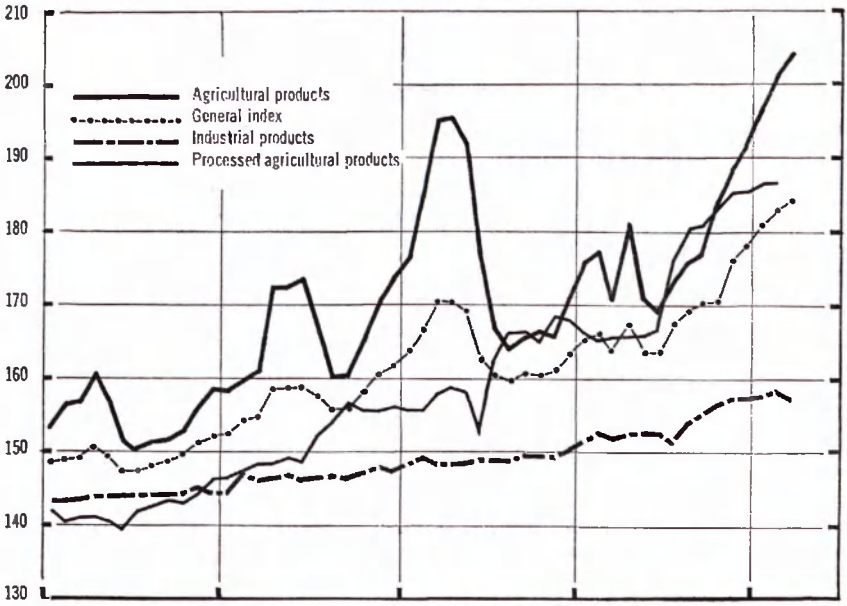
1. 1st qtr. 1965 over 3rd qtr. 1964.
2. February-April 1965 over August-October 1964.

Source: National Institute of Statistics.

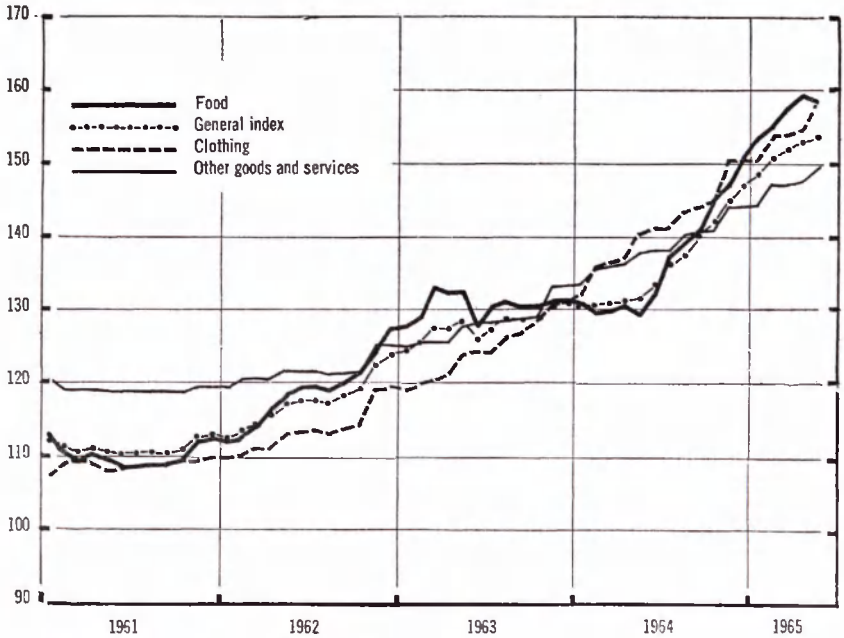
The main cause of this trend of prices has not been a general excess of domestic demand. First, despite the rapid rise in demand, there has been no evidence of significant supply bottlenecks outside agriculture and construction. Second, the balance of payments was in surplus in 1964. It is true that less restrictive import policies would certainly have led to a current account deficit. But a current deficit matching the surplus on

Diagram 2. **PRICES**

A. WHOLESALE PRICES. 1955 = 100



B. COST OF LIVING. 1958 = 100



Source: National Institute of Statistics.

long-term capital account, would have seemed more normal for a country in Spain's present state of development. The most important single factor was the agricultural price support policy, the extent of which is illustrated in Table 5. This has undoubtedly reinforced the pressure for higher wages.

TABLE 5. **OFFICIAL DECISIONS MODIFYING FOOD PRICES**[1]

	DATE	UNIT	PREVIOUS PRICE	NEW PRICE	% INCREASES
Sugar-beet	22/10/1963	pts/ton	975	1,245	27.7
Sugar	"	pts/kg	13	15.50	19.2
Barley	28/3/1963	"	3.80	4.75	25.0
Maize	"	"	4.10	5.05	23.2
Wheat	27/5/1964	"	6.16	6.66	8.1
Wheat flour	"	"	8.15	8.82	8.2
Bread:					
Standard piece of 800 g	"	pts/piece	6.40	6.80	6.3
Other	"	pts/kg	11.11	12.24	10.2
Coffee (1st class)	2/7/1964	"	139	165	18.7
Coffee (popular)	"	"	80	119	48.8
Pork	22/7/1964	"	37	42.50	14.9
Frozen meat (beef)	3/8/1964	"	30.30	40	32.1
Olive oil	"	pts/litre	27	32.50	20.4
Ground-nut oil	"	"	28	35	28.5
Other edible oils	"	"	21	22	4.8
Wine	20/8/1964	pts/hl.	27	32	18.5
Alcohol	"	pts/litre	32	38	18.8
Rice	30/8/1964	pts/kg	11.20	12.90	15.1
Milk (in Madrid)	29/12/1964	pts/litre	7	8.50	21.4
Eggs	20/8/1964	pts/doz.	30	36	20.0

1. In most cases, guaranteed prices at wholesale level. For barley and maize "Indicative prices". In other cases (e.g. bread, milk, eggs, rice, coffee) consumer prices.

Source: Official Journal and Ministry of Commerce.

The broad picture to be derived from the available evidence is that, after increasing substantially in 1963, money wages again rose considerably last year, though perhaps by a smaller percentage. The trend of wages, however, is difficult to measure. The general index prepared by the Institute of Statistics shows that hourly wages in manufacturing increased by more than 20 per cent in 1963 and by a further 15 per cent in 1964. But the underlying statistics are rather doubtful and sometimes conflicting. Accordingly, the Institute of Statistics initiated quarterly sample surveys in 1963. A selection from their results is given in Table 6. Certain results — e.g. the relative earnings of skilled and semi-skilled operatives in the

metal-working industries — are unlikely to be representative of actual trends. Such results should be considered a normal consequence of the initial difficulties of sampling, classification, etc. in a complex field of enquiry; but they suggest that, for the moment, the new statistical series should be interpreted with great caution.

TABLE 6. HOURLY EARNINGS

	ANNUAL AVERAGES IN PESETAS		% INCREASES IN 1964
	1963	1964	
1. Coal mining:			
a) Skilled workers (foremen, etc.)	29.24	33.82	15.7
b) Semi-skilled workers	20.11	23.60	17.4
2. Food, drink and tobacco:			
a) Skilled workers (foremen, etc.)	17.34	21.89	26.2
b) Other skilled workers	14.63	18.42	25.9
c) Semi-skilled workers	14.53	16.42	13.0
3. Textiles:			
a) Skilled workers	15.11	18.43	22.0
b) Semi-skilled workers	14.86	16.07	8.1
4. Clothing and footwear:			
a) Skilled workers	14.33	15.25	6.4
b) Semi-skilled workers	12.99	14.87	14.5
5. Paper:			
a) Skilled workers	16.54	18.31	10.7
b) Semi-skilled workers	15.24	16.86	10.6
6. Chemicals:			
a) Skilled workers	17.19	19.38	12.7
b) Semi-skilled workers	16.37	18.46	12.8
7. Metal, engineering and transport industries:			
a) Skilled workers	17.44	18.99	8.9
b) Semi-skilled workers	16.82	20.26	20.5
8. Commerce:			
a) Skilled workers	12.72	15.35	20.7
b) Semi-skilled workers	12.27	13.61	10.9
9. Construction:			
a) Skilled workers	13.42	14.86	10.7
b) Semi-skilled workers	11.79	12.68	7.5
c) Unskilled workers	11.22	12.17	8.5

Source: Quarterly sample surveys of the National Institute of Statistics.

Labour productivity in industry is difficult to measure with confidence and it is, therefore, not easy to judge the development of labour costs. These have undoubtedly increased in certain sectors of the economy — for instance, in the larger farms which employ hired labour on an important

scale. (Agricultural wages rose by 23 per cent in 1963 and by 12 per cent last year according to the Ministry of Agriculture.) In manufacturing, cost developments probably varied greatly as between different branches and according to the size of firms, but the following general interpretation seems plausible. Until very recently, average industrial productivity must have been increasing at an exceptionally high rate. The mere disappearance, after the 1959 Stabilisation Programme, of shortages of raw materials and semi-finished products and the greater freedom to import have certainly resulted in large automatic productivity gains. Moreover, the high rate of industrial investment during the last few years must still be yielding important returns in terms of output per man-hour. This was virtually the first time since the world recession of the early 'thirties that Spanish industrialists had both the incentive and the practical possibility to buy modern machinery abroad on any large scale. Thus, the sharp (though difficult to quantify) increase of wages has probably corresponded to roughly parallel productivity rises until rather recently. At present, the relative movements are uncertain, but it is unlikely that, from now on, productivity increases will be as high as in the period of "easy" gains of the past few years.

e) *Money and Credit*

The expansion of liquidity (Table 7) was substantial in 1964; money supply increased by 19 per cent, compared to 15 per cent in 1963, while savings and time deposits increased by 24 per cent, compared to 19 per cent in 1963. The faster accumulation of foreign reserves had an appreciable effect on liquidity. Moreover, the public sector had a marked expansionary impact in 1964. The proceeds of Government borrowing were used to extend credit, mainly to the private sector, through the official credit institutions. But advances by the Central Bank to autonomous public institutions also increased very considerably (with the notable exception of the Wheat Agency, owing to the lower harvest). This fact is mainly explained by the expanding operations of the State Procurement Agency for the support of agricultural prices, which required advances of 11.3 billion pesetas from the Bank of Spain, compared to 3 billion in 1963. This very large increase may partly be due to certain modifications of the methods and sources of finance introduced in the last few months of 1963; but the fragmentary information available does not permit exact assessment of the shifts from commercial bank credits to Central Bank advances to this Agency. The most important source of monetary expansion was the 21 per cent increase of credit to the private sector by the banking system, following a rise of 22 per cent in 1963. The increase was largely concentrated in the last few months of 1964; commercial bank credit in the fourth quarter rose by 32.3 billion pesetas, as against 25.8 billion for the whole of the rest of the year.

Table 7. MONEY AND CREDIT

Consolidated account of Bank of Spain, commercial banks and savings banks

Annual increases; in billion pesetas.

	1962	1963	1964
Categories of liquid assets:			
1. Money supply (currency and sight deposits)	43.0	41.9	60.3
2. Quasi money (time and savings deposits)	50.8	51.8	77.5
3. Total (including foreign exchange deposits)	94.3	95.5	139.9
Counterparts:			
4. Public sector:			
A. Advances and loans to:			
i) Central Government	—0.7	—2.5	2.2
ii) Wheat Agency (SNT)	3.9	2.3	—3.2
iii) Other autonomous institutions	0.7	2.2	11.8
iv) Official credit institutions	—0.7	1.8	1.3
B. Purchases of Government and INI bonds[1]	2.2	7.8	17.0
Total public sector	5.5	11.6	29.1
5. Private sector:			
A. Credits and discounts	65.6	60.7	70.5
B. Stocks and shares	5.3	10.6	11.0
C. Unspecified[2]	4.2	5.6	9.9
Total private sector	75.0	76.9	91.4
6. External sector:			
A. Bank of Spain and IEME	11.1	5.4	19.8
B. Counterpart funds	3.7	4.6	1.6
Total external sector	14.8	10.0	21.4

1. A breakdown between the two categories is not available.
2. Balance of the account "Banks and bankers" of the commercial banks. Information on the nature of this account is not available. The Bank of Spain includes it in Item 5(A) in the consolidated account of the banking system.

Source: Bank of Spain.

Table 8 attempts to summarize, for the last four years, the "external" finance of the private sector — i.e. funds other than retained profits. These figures exclude most of the finance obtained from abroad — e.g. suppliers' credits — and they present certain statistical problems (see footnotes to the Table). But it seems certain that "external" finance continued to grow substantially last year. There was a new important expansion of commercial bank credit after the relative slowing-down of 1963, and credit by the savings banks again increased rapidly (by more than 30 per cent). But the role of the official credit institutions is becoming steadily more important; this is borne out clearly by statistics of new credits approved (see Statistical Annex).

TABLE 8. EXTERNAL FINANCE OF THE PRIVATE SECTOR

Net annual increases; in billion pesetas.

	1961	1962	1963	1964	PER CENT SHARE IN 1964
1. Commercial banks' credit[1]	41.0	58.9	48.4	58.1	(48.6)
2. Savings banks' credit	3.3	6.1	12.7	13.1	(11.0)
3. Issues of bonds and shares[2]	19.1	23.4	36.4	32.9	(27.5)
4. Official credit institutions	6.7	7.1	10.7	15.5	(12.9)
5. Total	70.4	95.5	108.2	119.6	(100.0)
Pro mem:					
Issues of the INI[3]	9.6	4.9	8.6	8.3	

1. Excluding the item "banks and bankers" — 5(C) and footnote 2 in Table 7.
2. Excluding the banks' recourse to the capital market (issues of cash bonds and capital stock).
3. In Spanish statistics the National Institute of Industry is included in the public sector. No information is available about credit received by INI companies from the banking system.

Source: Bank of Spain.

The role of the capital market as a source of external finance for the private sector was smaller in 1964 than in 1963. On the other hand, there was a large increase (from 14 to over 23 billion) of public issues, of which 17 billion were bought by the commercial banks and the savings banks. Moreover, the newly-established investment banks sold 3.4 billions' worth of long-term cash bonds. Total issues of securities amounted to 63 billion, compared to 54 billion in 1963 and 31 billion in 1962. As shown in the Statistical Annex, share prices continued to decline, whereas those of public and private bonds showed a slight increase.

In the early months of 1965 the strong expansion of credit continued. The indebtedness of the public autonomous institutions with the Central Bank declined up to May, the main reason being the reimbursement of 5 billion pesetas by the State Procurement Agency[1]. But credit by the commercial banks increased substantially (by 18.3 billion up to April compared to 6.1 billion a year earlier); the growth of credit for imports may be partly responsible for this acceleration. Despite this increase, the potential expansion of bank credit remained important. Last year the commercial banks used the increased liquidity arising from the public sector's operations and the balance of payments surplus to reduce, by 11 billion pesetas, their indebtedness with the Bank of Spain. In February this year the Treasury placed a new bond issue of 10 billion, the proceeds

1. Probably the result of disposal of stocks.

of which were transferred to the official credit institutions. At the end of April, however, the average liquidity ratio of the commercial banks was still 17.6 per cent — well above the legal minimum requirement of 13 per cent. In May, the Treasury cash surplus and the new decrease of foreign reserves have probably contributed to a reduction in the commercial banks' liquid position, which, however, must remain ample.

f) *Public Finance*[1]

Public finance again had a considerable expansionary impact in 1964. Both budget revenue and expenditure increased by more than 15 per cent. The yield of direct taxes rose by 10 per cent and was practically as forecast; that of indirect taxes increased by more than 17 per cent, exceeding the original estimates. There was a budget surplus of 0.7 billion, practically the same as in 1963, but much smaller than in the previous years. The substantial transfers to the official credit institutions (17.6 billion pesetas compared to 4.9 billion in 1963) were mainly financed by government recourse to the capital market and, to a smaller extent, by recourse to the Bank of Spain. The increase of current expenditure on goods and services was appreciable (14 per cent) but somewhat less than forecast in the budget. On the other hand, current subsidies exceeded forecasts considerably; the main reason was a sharp increase of subsidies to agriculture. Direct government investment rose by 14 per cent, but fell slightly short of estimates. Total expenditure on house-building (essentially budget transfers to the Institute of Housing) exceeded forecasts appreciably. Both current and capital outlays on education increased significantly, but showed a marked shortfall compared to the original estimates.

The budget for 1965 is balanced and implies a further boost by 9 per cent on both sides of the accounts. Recourse by the Treasury to the capital market (with a view to increased transfers to the official credit institutions) is expected to amount to 20 billion pesetas. The estimates of expenditure are discussed in page 26 below. The yields of direct and indirect taxes are expected to increase by 4.5 and 8.5 per cent respectively. These percentages, and especially the former, seem quite small given the current general trend of the economy and the sharp increase in the price level. But the budget estimates were probably cautious because of the uncertainties concerning the initial effects of the fiscal reform of June 1964. The various elements of this extensive reform will start being applied at different times up to 1967. Certain changes reducing tax yields (e.g. the raising of exemption limits) are already in force; if the application of other changes, having the opposite effect, were to be delayed, the result would be a relative slowing-down of the tax yields for a certain period. Even if it were a temporary phenomenon, any considerable or prolonged de-celeration in

1. See Table 10 in Part II of this Survey.

the growth of tax revenue would have been inappropriate in present circumstances.

In fact, budget revenue increased rather moderately up to April. But a sharp rise in May brought up the increase of total budget receipts between the first five months of 1964 and 1965 to 11.4 per cent (and the corresponding rise of tax revenue to 8.8 per cent). On the other hand, budgetary expenditure rose sharply between these two periods (by 33 per cent) leading to a great reduction in the seasonal budget surplus — to 1.7 billion pesetas compared with 9.7 billion for January/May 1964. Since the deficit on extra-budgetary operations remained considerable, total borrowing by the Treasury (net of transfers to the official credit institutions) amounted to 2.3 billion pesetas, compared with net lending of 4.9 billion in the first five months of 1964 and of 10.1 billion in the corresponding period of 1963 (see Table 10A).

g) ***Balance of Payments***

In 1964, the overall balance of payments yielded a sizeable surplus of $326 million, compared to $105 million in 1963. Contrary to general experience in the 1960's, the widening of the trade gap slowed down considerably last year. Imports increased by about 16 per cent compared to a rise of 25 per cent in 1963, reflecting the reduction of food and agricultural products; other imports rose by 22 per cent — a little faster than the previous year. Exports, on the other hand, relatively stagnant since 1960, increased by 26 per cent — with an increase of as much as 30 per cent in agriculture, but important gains in all other main groups. (See Table in Statistical Annex.)

The strong expansion of invisible receipts continued in 1964; net earnings from tourism rose by 40 per cent and workers' remittances by over 20 per cent. The trade deficit of $1.1 billion (f.o.b. basis) was more than covered by the surplus on current invisibles and transfers, so that there was a small current account surplus compared to a deficit of $186 million in 1963. The capital account showed an important surplus. The net inflow of private capital increased appreciably to nearly $300 million, despite a decrease in portfolio investment; direct investment, purchases of real estate by foreigners and new commercial credits rose considerably — the latter probably linked to the increased imports of capital goods. Official reserves increased by $313 million and stood at $1.4 billion at the end of the year.

The trade deficit increased substantially in the first four months of 1965, when it amounted to $624 million, compared to $328 million a year earlier (customs basis). Imports were 25 per cent higher, but exports fell by 13 per cent. Food imports continued at the relatively high level attained at the end of last year, following the poor crops and the emergency

TABLE 9. **BALANCE OF PAYMENTS**

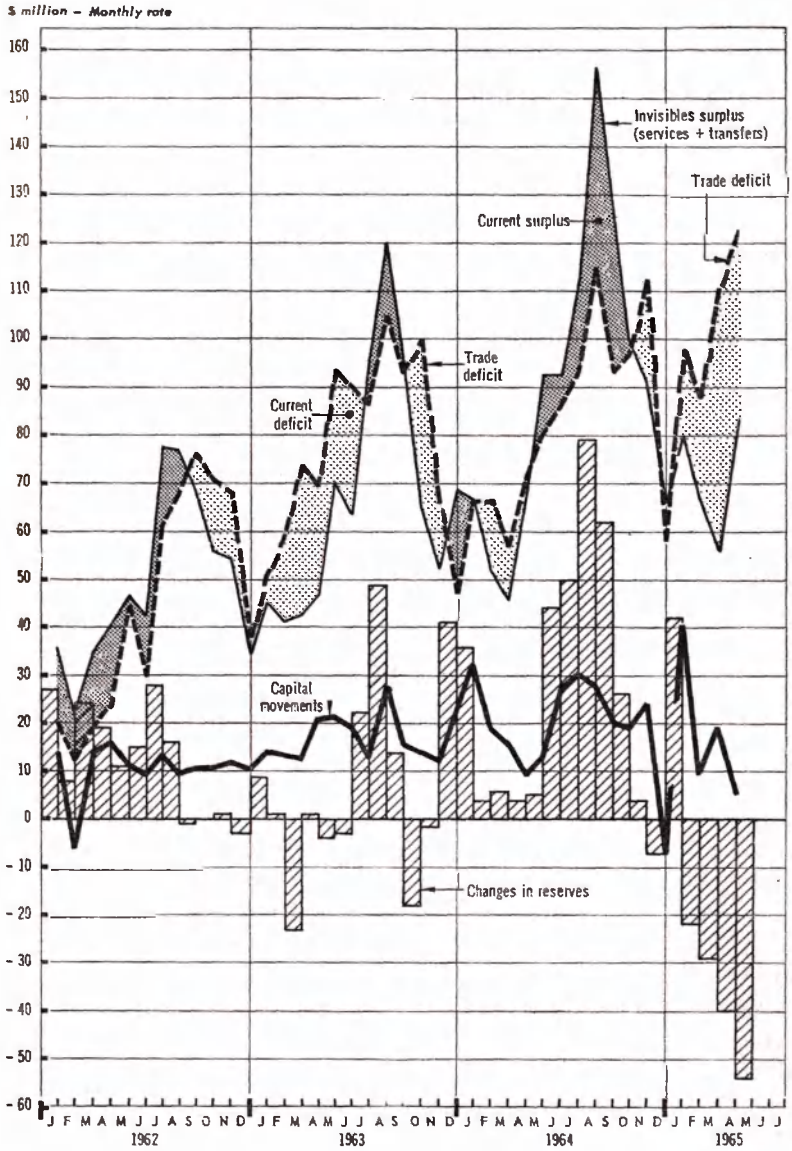
In million dollars.

		1962	1963	1964
1.	Imports (f.o.b.)	1,438.2	1,798.6	2,081.8
2.	Exports (f.o.b.)	800.3	785.9	988.0
3.	TRADE BALANCE	—637.9	—1,012.6	—1,093.8
4.	Foreign travel	465.8	611.0	852.0
5.	Other services	1.4	—42.0	—61.3
6.	Workers' remittances	146.0	195.0	237.8
7.	Other private transfers	63.1	56.4	79.0
8.	Official transfers	11.9	6.5	4.0
9.	Total services and transfers (4 to 8)	688.2	826.9	1,111.5
10.	CURRENT BALANCE	+ 50.3	—185.7	+ 17.7
11.	Direct investment	38.9	67.3	116.1
12.	Portfolio investment	48.2	87.1	71.5
13.	Eximbank and Development Loan Fund	35.0	18.5	20.0
14.	Other private capital	—17.1	41.3	91.7
15.	Official capital movements	13.4	4.6	—13.5
16.	BALANCE OF CAPITAL MOVEMENTS NON-MONETARY SECTORS	+ 118.4	+ 218.8	+ 285.8
17.	Errors and omissions	+ 33.7	+ 71.8	+ 22.9
18.	MONETARY MOVEMENTS	—202.8	—104.7	—326.5
	of which:			
19.	Changes in reserves (increase = —)	—144.1	—85.4	—312.8
20.	Operations with IMF	—15.0	—16.5	—52.5
21.	Liabilities in pesetas to the US Government	—48.0	—57.5	—16.7
22.	Other official	—14.6	13.0	18.5
23.	Convertible peseta accounts	18.9	41.7	37.0

Source: Ministry of Commerce.

import programmes (see Part II of this Survey) so that their value was 24 per cent higher than in January-April 1964. Other imports also increased substantially between these two periods (+ 26 per cent). After some flattening out in the second half of last year, imports of machinery increased again and were 19 per cent higher in value than in January-April 1964. Statistics of import licences up to June suggest a continuing strong expansion of imports in the coming few months. The decline of exports was due exclusively to the fall of agricultural and food products. This was the result of certain poor crops recorded in 1964, notably of olive oil; the drop in citrus exports was greater in value than in volume. Non-agricultural exports were slightly above the level of January-April 1964. (See Diagram 5 below.) Invisible receipts continued to grow steadily and the private

Diagram 3. **EXTERNAL TRANSACTIONS — CASH BASIS[1]**



1. The revision of current statistics as from January 1965 raises problems of comparability for some items, especially for capital movements and invisibles; for 1965 there is a significant residual item not shown in the graph.

Source: Información Comercial Española.

capital inflow did not show any signs of flattening out. But the greatly increased trade deficit, official capital outflows ($12.5 million loan to the Inter-American Development Bank) and a $35 million increase in the net IMF position contributed to a decline of official reserves by $104 million up to May; at that time (i.e. before the main tourist season) the reserves stood at $1,303 million, representing about six months' imports. This decline, together with recent gold purchases has brought up to 60 per cent the share of gold in the reserves, compared to 52 per cent at the end of 1963.

II. THE PROBLEM OF RESTORING FINANCIAL STABILITY

a) *The Present Situation*

Spain's rapid economic growth has come up against important inflationary pressures. If these pressures are not mastered, the process of development — which has already yielded considerable results in terms of higher production and living standards — will sooner or later be interrupted; when corrective action is not taken early enough, it has to be more drastic. The tensions have arisen not because the pace of growth itself has been excessive, given prevailing conditions, but largely because official policies aimed at balanced development and correction of the economy's structural deficiencies could have been better coordinated in their implementation. It should still be possible for more determined selective action by the authorities to restore a satisfactory degree of stability, without recourse to any considerable restraint of global demand.

Latest evidence suggests that consumers' demand will probably remain buoyant throughout 1965 and that public consumption will rise considerably. Total budget expenditure is tending to increase substantially. Public investment and demand for housebuilding are both likely to increase further. The chances are that private productive investment will also continue at a high level. Ample bank liquidity should facilitate the strong expansion of effective demand. Accordingly, without sufficient corrective measures, there is a risk that the strong pressures on prices and wages will continue. Favourable seasonal factors, and the recent increase of certain food imports, may slow down the movement of prices somewhat in the next few months. But a temporary respite will not be sufficient to restore stability.

b) *The Measures of November 1964*

To combat the rise of prices, a first series of mesures were announced last November:

i) A three-month emergency programme of food imports was approved. At the same time it was announced that a Special Fund was being set up for regulating agricultural prices through levies on imports, support operations for local products, etc. The Procurement Agency has in fact been operating on these general lines for some time. But since no rules and procedures concerning the new Fund have so far been published, it is not clear what changes the authorities intend to introduce in the regulation of agricultural prices.

ii) A further liberalisation of imports was put in force, with effect from various dates up to July 1965. (The previous partial liberalisation list had been published in February 1963.) It was also stated that import quotas would be enlarged for commodities whose prices were rising appreciably; it is not known to what extent this decision has already been applied.

iii) A new schedule of tariffs and fiscal import duties was published. The intention was to achieve a "conjunctural" reduction of tariffs of the order of five per cent, but the new schedule included three types of change: it prolonged the temporary reduction of "permanent tariffs" enacted early in 1963; it gave effect to widespread increases of fiscal import duties, corresponding to the changes in internal taxation; and it introduced new reductions of both "permanent" and temporary tariffs. The net price effect varied significantly as between different commodity groups, but in many cases it was negligible.

iv) It was announced that measures would be taken to restrain excess demand for housebuilding and to improve the marketing and distribution of agricultural products.

v) The authorities underlined the need to keep wage increases in line with productivity rises.

c) *The Recent Measures (Spring 1965)*

These decisions were generally in the right direction. But given their limited nature and the considerable delays of application in some cases, their impact was insufficient. It soon became clear that more important measures were required. The authorities have accordingly announced recently a number of new measures and are examining at present (June 1965) the lines of further appropriate action.

In formulating policies for the prompt re-establishment of adequate financial stability, the authorities have had to take account of two basic imperatives. First, only decisions having immediate or very short-term effects are relevant in this context; while longer-term measures (e.g. rationalisation of the distributive network) are eminently desirable, they

will not help solve the present urgent problems. Second, simultaneous action on a number of fronts is now necessary, given the important degree of price and cost pressure which has already been built up. Indeed, some of the main causes of this pressure (notably the 1964 decisions to raise agricultural prices) have probably not yet exerted their full inflationary influence throughout the economic system.

It is beyond doubt that the most urgent present need is to stop the substantial rise in food prices (Table 4), and to bring about, as far as possible, some price reductions. A first condition for this is to avoid any new increases in guaranteed prices. The important recent decision of the Government to maintain the same guaranteed price for wheat during the 1965-66 season is an essential step in this direction. It might, moreover, be feasible to reduce the support level in cases where it proves clearly excessive[1]. A second prerequisite is a radical change in food import policies and procedures. It is now evident that stabilisation of food prices — even at their present high levels — requires a higher volume of imports. The authorities have accordingly prepared an enlarged import programme for food and animal feed amounting to about $425 million[2] for the current year; out of this total, $190 million worth of imports had already been realised up to May. Depending on the development of domestic production in the near future, it might be necessary to increase further the volume of imports.

Beyond the emergency import programmes, there is an essential need to establish a system ensuring a regular supply from abroad which can quickly be adjusted to the inevitable fluctuations of domestic output. It is very doubtful whether the present system of direct bulk procurement of most food imports by State agencies can result in smooth functioning of the market. A more suitable arrangement would be to liberalise all food imports and leave them to private trade. The authorities, by administering in a flexible way the existing system of import levies and by limited direct interventions in the market, could ensure that producers' prices do not fall below the levels fixed by the Government. This method is already applied for secondary cereals and seems to have worked satisfactorily. It should become the general rule for food imports as soon as possible.

The upward movement of prices has spread to industrial products to a significant extent (Table 4). To restrain this tendency, the most effective weapon is to increase the dose of competition from imports. There is a particularly strong case at present for a substantial reduction of the remaining

1. This may happen, for instance, when actual production substantially exceeds the official forecasts used to fix the support price. This was perhaps the case with wine in 1964, when a substantial increase of the guaranteed price (Table 5) coincided with an abundant harvest (Statistical Annex, Table I).

2. Actual imports of the commodities included in this programme were about $285 million in 1964 and $320 million in 1963.

quantitative restrictions on non-agricultural imports. In fact, a new liberalisation list was published in May, covering a fairly large number of industrial products; in most cases, liberalisation took effect immediately. But it is important to proceed as soon as possible to a general dismantling of quantitative restrictions with, at most, a short list of exceptions. Such a list should cover only those cases where there are compelling reasons against immediate removal of quantitative import controls and it should, preferably, indicate a time-table for additional liberalisation in the future.

The beneficial effects of import liberalisation on the trend of prices could be reinforced through a "conjunctural" reduction of tariffs and other charges on imports. Such a reduction should entail a significant decrease of the total charge on the c.i.f. value of imports (tariffs plus import taxes). And, unless more elaborate tariff cuts were ready for immediate application, it should be automatic, simple and comprehensive — either a uniform linear reduction, or, preferably, a smaller percentage cut of the lower tariffs and a more important decrease of the higher ones.

The measures outlined above, though certainly important, would probably not be sufficient to arrest the inflationary pressures unless domestic demand expands more moderately, particularly where it has clearly become excessive. The rate of housebuilding is already very high. Taking account of the substantial number of authorisations outstanding, it is evident that additional authorisations and finance in the coming months would mainly lead to new price and wage increases and, perhaps, the switching of real resources away from other types of construction, including public works. The authorities accordingly suspended, in April, the issue of new authorisations for the principal categories of State-supported housebuilding[1]. A decree published in June fixes monthly ceilings for new authorisations to be granted between October next and the end of 1966. The planned figures are 140,000 for 1965 and 200,000 for 1966, compared to the 332,000 issued in 1964. Moreover, the conditions of housebuilding credits to be granted from now on by the official credit institutions and the savings banks have recently been tightened[2]. These two types of measures should have an appreciable effect in due course. But given the existing official financial commitments for the great number of authorisations already issued, it seems necessary, in addition, to spread out as far as possible the grant of credit for projects already approved.

1. « Renta Limitada » 1st group and « subventionadas »; authorisations for these two categories amounted to 332,000 dwellings in 1964 (out of a total of 394,000 for all types of State-supported housing) and 87,000 in the first quarter of 1965. The corresponding number of dwellings completed in 1964 was about 200,000, out of a total of 230,000 (see Table 3).

2. The share of total cost that can be financed by such credits will be reduced and the repayment periods shortened; interest rates charged by the official credit institutions will be raised; a ceiling will be fixed for individual operations of the savings banks; and steps are to be taken to prevent simultaneous recourse by the borrowers to both the savings banks and the official institutions.

A second case where demand restraint is now called for is in the public sector. On present evidence, current budget expenditure is likely to rise again appreciably this year, partly because of necessary salary increases in the civil service[1]. Every effort should be made to restrain the expansion of total current expenditure, including transfers. And there are strong reasons for a temporary slowing down of the growth of public capital expenditure. Public investment, after some initial delays has accelerated in the course of 1964 and a substantial amount of unused allocations has been carried-over into 1965. It is true that the new allocations for this year will normally give rise to a lower rate of expenditure, given the technical and other time-lags (see page 33). Nevertheless, total expenditure on public investment may tend to rise considerably. Since a large part of public projects fall on the over-strained construction sector, any very large rise of expenditure would result in new price increases rather than in a higher volume of investment. In practice, the minimum target for public finance in 1965 should be to keep total government expenditure down to likely total revenue (estimated at 141 billion pesetas). This target should be taken to include both outlays authorised in previous financial years and "extra-budgetary" payments by the Treasury, which continue to be important. In order to achieve this objective, the authorities have, first, taken steps to reduce the administrative delays of tax collections; the resulting increase in revenue will be non-recurrent, but nonetheless welcome in present circumstances. Second, measures are being taken to control the rate of new contracts for public investment. Such measures should be reinforced as far as possible with due regard to the relative priority of different projects.

If the measures described above are applied sufficiently promptly and reinforced as may be necessary, the need to resort to general credit restrictions could probably be avoided. In fact, the authorities do not envisage, at present, any appreciable restraint of credit, a reluctance that seems justified in view of the dampening effects of such a policy on productive investment. Nevertheless, monetary and credit policy has an important role to play in a general, co-ordinated set of anti-inflationary measures. First, some qualitative credit control seems highly desirable and the decisions to control finance for housebuilding may need to be completed[2]; in particular, any type of credit which may help to finance land speculation should be strongly discouraged. Second, the total expansion of credit must not

1. A law of May 1965 combines the salary increases with a gradual correction of the present system, under which a substantial part of civil service emoluments does not appear in the budget; it is paid from special funds, financed with the proceeds of various « parafiscal » duties and levies.

2. Out of 22 billion pesetas of total new credits to the private sector approved in 1964 by the official credit institutions, 5 billion was for housebuilding. This is on top of the 8.3 billion granted last year by the Institute of Housing, financed mainly from budget funds. Mortgage credits by the savings banks increased by 9.3 billion in 1964. For credit by the commercial banks there is no breakdown by economic sectors.

TABLE 10 A. PUBLIC FINANCE

In billion pesetas.

	ACTUAL			1964		1965	ACTUAL[1] JANUARY-MAY		
	1961	1962	1963	FORECAST	ACTUAL	FORE-CAST	1963	1964	1965
REVENUE:									
1. Budget revenue	81.1	95.0	109.0	120.8	125.8	136.8	45.9	50.9	56.7
of which: 2. Direct taxes	25.9	29.5	32.0	34.5	35.2	36.8	12.8	14.1	15.5
3. Indirect taxes	47.8	55.2	64.1	69.0	75.3	81.7	26.0	30.0	32.5
4. Annexed budget[2]	4.8	3.3	3.8	9.1	1.6	4.2	2.5	0.8	1.1
5. TOTAL REVENUE	85.9	98.3	112.8	129.9	127.4	141.0	48.4	51.7	57.8
EXPENDITURE[3]:									
6. Investment expenditure (civilian)	...	...	25.9	35.7	36.3	40.1	...	...	...
7. Other expenditure	...	...	82.5	85.3	88.8	96.7	...	...	...
8. Total budget expenditure	74.0	88.8	108.4	121.0	125.1	136.8	39.9	41.2	55.0
9. (= 1 — 8) Budget balance	+ 7.1	+ 6.2	+ 0.5	+ 0.8	+ 0.7	—	+ 6.0	+ 9.7	+ 1.7
10. Annexed budget[2]	4.1	4.2	4.0	9.1	1.7	4.2	1.9	1.0	0.7
11. On account of local bodies, net	0.2	— 0.3	— 2.7	—	— 0.6	...	— 1.0	1.0	1.1
12. Other expenditure, net[4]	— 0.3	— 2.4	— 0.1	—	0.7	...	— 2.5	3.6	3.3
13. TOTAL EXPENDITURE	78.0	90.3	109.7	130.1	126.9	141.0	38.3	46.8	60.1
14. (= 5 — 12) TOTAL BALANCE (equals total borrowing and lending)	+ 7.9	+ 8.0	+ 3.1	— 0.2	+ 0.5	—	+ 10.1	+ 4.9	— 2.3
Borrowing (+) *and lending* (—)									
15. Treasury issues	3.0	0.5	5.0	15.0	15.0	20.0	—	—	10.0
16. Less: Transfers to official credit institutions	— 10.1	— 7.2	— 4.9	15.0	— 17.6	— 20.0	— 1.5	— 6.0	— 10.6
17. Recourse to the Bank of Spain	— 0.8	— 1.3	— 3.2	0.2	2.1	...	— 8.6	1.1	2.9

1. The figures relating to total budget expenditure (Item 8) include the "seccion apéndice".
2. Expenditure financed with US aid counterpart funds.
3. The classification of budget expenditure has been revised since 1963.
4. Residual item. It includes: annexed budget operations other than those financed with US aid counterpart funds, the "special section" of the budget and the net balance of other cash operations of the Treasury.

Source: Ministry of Finance and Bank of Spain.

TABLE 10 B. **BUDGET EXPENDITURE**

Billion pesetas.

BUDGET CHAPTER		1962 ACTUAL	1963 ACTUAL	1964 FORECASTS	1964 ACTUAL	1965 FORECASTS
1	Wages, salaries, pensions	29.3	33.6	41.5	39.6	47.0
	of which: education	(4.2)	(5.0)	(6.4)	(5.8)	(6.7)
2 + 3	Other current expenditure	10.0	13.1	12.9	13.5	13.5
	of which: defence	(4.0)	(4.4)	(5.8)	(5.5)	(5.8)
4	Current subsidies and transfers	13.3	21.1	16.9	24.4	21.9
	of which: agriculture	(0.9)	(1.7)	(0.4)	(4.3)	(0.5)
	national funds[1]	(1.0)	(2.8)	(2.7)	(5.0)	(3.0)
	local administration	(0.3)	(4.2)	(3.9)	(4.8)	(7.5)
	TOTAL CURRENT	52.7[2]	67.9[2]	71.3	77.6[2]	82.4
6 + 9	Direct investment[2]	10.6	14.2	20.5	19.0	23.0
	of which: public works	(4.8)	(7.8)	(9.7)	(11.8)	(10.9)
	education	(0.4)	(1.0)	(1.6)	(1.1)	(1.9)
	defence	(4.0)	(3.8)	(5.2)	(3.7)	(5.3)
	local administration[3]	(1.0)	(1.4)	(1.7)	(1.6)	(2.7)
8	Capital transfers	14.5	15.5	20.4	21.0	22.4
	of which: housebuilding	(6.6)	(7.5)	(7.4)	(9.2)	(7.4)
	TOTAL CAPITAL	25.1	29.7	40.9	40.0	45.4
5 + 7	Financial transactions	11.2	10.8	8.7	7.5	8.9
	of which: public debt operations	(6.8)	(6.1)	(6.9)	(6.3)	(7.0)
	TOTAL	89.0	108.4	121.0	125.1	136.8

1. The proceeds of certain taxes are earmarked for the "national funds". These funds provide financial assistance to workers dismissed because of re-conversion of enterprises, distribute study grants, etc.
2. Expenditure authorised in preceding budgets (Chapter 9) relates almost entirely to public investment projects, except for minor amounts which are included in the totals of actual current expenditure.
3. Participation of the central budget in the cost of investment carried out by local administration bodies.

Source: Ministry of Finance.

be allowed to become excessive. The official credit institutions are expanding their operations considerably. And the potential for credit creation by the commercial banks is still substantial, despite the drain on liquidity resulting from the recent fall in reserves. Among other policy instruments, a much greater readiness than in the past to use the weapon of interest rate policy is needed — both to prevent the risks of excessive liquidity creation and to move towards a rationalisation of the existing structure of interest rates.

d) *The Rationale of the Corrective Measures*

The most important immediate objective of official policy at present is to prevent a prolonged inflation. If not arrested in time, the

inflationary process risks gathering momentum, undermining sooner or later the balance of payments situation and, eventually, leading to drastic stabilisation measures and to an inevitable policy-induced recession. The potential damage of a prolonged inflation is particularly great at the current stage of the country's economic development. Spain in recent years has entered a phase of rapid economic growth and transformation. And Spanish industry — handicapped with long-standing structural defects — has started on the way towards modernisation, wherein lies the future of the economy. It would be unfortunate if new industrial investment were diverted in unsound directions because of inflationary cost and price distortions; and it would be extremely disappointing if productive investment had to be severely interrupted later on because of a need for extreme corrective action. The essential justification for the choice of corrective policies which the Spanish authorities have started applying is precisely the fact that they appear at the least likely to discourage productive investment.

There are good reasons for believing that selective disinflationary measures of this type — and additional similar action as may be necessary in the light of the developing situation — would go far towards redressing the balance. If the special factors which have served to induce inflation cease to operate (e.g. excessive price support for agricultural products or the maintenance of too many import quotas) comparatively moderate measures in other fields of economic policy would probably give quick and appreciable results. It is fortunate that the type of measures called for by the current economic situation are, in most cases, those that would seem to be required on the basis of long-term considerations. Certain of these longer-term aspects are discussed in the following paragraphs.

III. LONGER-TERM ASPECTS OF THE PRESENT PROBLEMS

a) *The Meaning of the Development Plan*

Seen in proper perspective, the present problems arose partly because the more backward sections of the economy find it difficult to adapt themselves to the transformation accompanying rapid growth; but they also reflect the difficulty of adapting economic policies to the requirements of speedy economic development in conditions of overall equilibrium. The need to re-shape and co-ordinate economic policy is brought out clearly in the Development Plan for 1964-67. Indeed, the main significance of the Plan does not reside in the detailed projections and forecasts it contains, which are of somewhat limited practical relevance for an essentially market economy. The most important element of the Development Plan is the effort to define general lines of policy consistent with the objective of

accelerated development and with the basic orientation of policy since 1959 — namely the choices of greater reliance on the market mechanism and the movement towards an open economy.

Experience of the last four years has shown that there are, fortunately, in Spain, very strong "spontaneous" factors pushing towards development and that Spanish industry, as soon as it was even partly freed from excessive administrative regulations, began a rapid process of modernisation and enlargement. In these conditions, the first and foremost contribution of economic policy to the development process is to maintain a dynamic equilibrium — that is, to ensure the maintenance of financial stability as the economy grows, and to prevent the almost inevitable inflationary pressures from reaching the point where brutal corrective measures including the stoppage of the development process would become unavoidable. In Spain today, appropriate long-term policies lie, in the first place, in the cumulative total of correct day-to-day decisions. Obviously the policies for restoring financial stability need to take account of medium-term objectives. But as it happens, a number of the measures necessary at the present moment are nothing more than an accelerated implementation of policies required for the overall targets of the Development Plan.

b) *Agriculture*

The clearest example is provided by the difficult problems of agriculture. Their essential, and irreversible, cause is the large-scale movement of manpower away from the farms, which is removing what was up to now the economic basis of a large part of agricultural production — availability of very cheap labour. Important transfers of manpower are naturally desirable and necessary for accelerated economic growth. But an effort to offset the far-reaching effects of this movement by steadily higher support prices would be self-defeating if carried too far. Such support policies are, of course, applied by most Member countries; but questions of degree are of crucial importance. These policies amount to a transfer of income from the industrial to the agricultural sector. Where the agricultural population is a small part of the total and industrial productivity is high, countries can easily afford the economic burden that such transfers represent. But where agriculture still accounts for roughly one third of the active population and industrial productivity is still comparatively low, the scope for tolerable transfers is limited. There are no easy alternative solutions to this problem; but unless agricultural price support policies are kept within moderate limits, the process of industrialisation risks being undermined, with a resulting smaller rate of growth for the economy as a whole.

Moreover, the long-term disadvantages of excessive price support policies for the agricultural sector itself are rather serious. First, such

policies risk retarding the necessary effort for re-adjustement and modernisation; in fact private investment in agricultural machinery, etc., does not seem to be advancing at present at anything like the required high rate. Second, these policies tend to perpetuate the old patterns of production — notably the very high share of wheat, which no longer corresponds to the present and foreseeable patterns of demand and is an obstacle to the much-needed expansion in the output of animal products. On the other hand, in determining the reasonable limits for price support, it is also important to take account of the present distribution of the benefits among the agricultural population. There is little published information, but indirect evidence suggests that the benefits accruing to the lower-income groups inside agriculture are the least important. One example of this can be seen from the distribution of the wheat-growing area by size of farm. Assuming, at best, roughly equal yields per hectare and taking account of self-consumption, it appears evident that a very large part of the wheat purchased by the National Agency comes from a very small number of farms. The conclusion is that social considerations reinforce rather than weaken the economic arguments against excessive support prices.

TABLE 11. WHEAT-GROWING FARMS

SIZE OF HOLDINGS (IN HECTARES)	NO. OF HOLDINGS (IN THOUSANDS)	%	WHEAT AREA BY EACH SIZE GROUP (THOUSAND HA.)	%
Less than 5 ha	438.2	37.7	276.9	6.7
From 5 to less than 20 ha.	486.8	41.9	1,034.0	24.9
From 20 to less than 100 ha.	205.2	17.7	1,663.9	40.1
100 ha. and more	31.5	2.7	1,174.4	28.3
Total	1,161.7	100.0	4,149.2	100.0

Source: Primer Censo Agrario de Espana, 1962.

The only sound alternative policy is a vastly increased effort to improve the productivity and structure of agricultural holdings. Such action will only slowly yield substantial results, but certain improvements in the methods of official policy could start having an impact rather soon. For instance, aid to agriculture — instead of taking the form of higher support prices — should increasingly be linked directly to productivity increases, by means such as loans on suitable conditions, and even through capital grants for the lower income categories. And in cases where demand is growing fast (e.g. meat products), the increase of production should be

fostered primarily by means of a reduction in the cost of inputs, the revision of relative prices for agricultural products and the promotion of higher yields — rather than through import restrictions and higher guaranteed prices. Furthermore, the pattern and timing of Government expenditure in favour of agriculture should be carefully re-examined. Any increase in the already very high expenditure on irrigation projects would not represent an optimum allocation of resources. It would seem preferable, with the same total financial effort, first to give priority to the termination of such projects, and second, to place greater emphasis on methods for increasing production and yields of those commodities which are most in demand in the domestic and foreign markets, on the modernisation of food processing plants and on the improvement of distribution in general. Work is already being done on some of these lines, but it needs to be expanded and improved as soon as possible.

c) ***Industry***

The preference of the authorities, in present circumstances, for selective anti-inflationary measures rather than a general restriction of demand is justified mainly because of the need to maintain a high rate of industrial investment. Further reduction of impediments to imports — desirable from the point of view of price stability — would at the same time help to encourage industrial production and investment along more competitive lines. There are further important steps that could be taken to ensure that industrialisation takes place on a sound basis. For example, the protection of cotton growing is an important cause of the difficulties of the textile industry. Maintenance, in several cases, of quotas or high tariffs on imports of equipment goods and semi-finished products inevitably increases average industrial costs. And, although the new legislation on sectors of "preferential interest" is based on sound principles, the privileges granted to particular firms of "national interest" under the previous system are still in force, perpetuating significant distortions in the domestic market.

The Spanish authorities have undertaken considerable efforts to promote the "growth centres" under the Development Plan. More than 800 projects have been approved so far, with total planned investment of about 50 billion pesetas. The incentives provided by the Government to such projects include tax remissions (up to 95 per cent), investment subsidies (up to 20 per cent) and preferential access to credit from the official credit institutions. The general objective of ensuring rational economic development in selected areas is of course very important. But it is essential to ensure that investment undertaken in this context is economically located and is likely to yield sufficiently high returns that would justify the cost of the incentives granted by the State. It is too early to judge the effects of the regional development policies, but the criteria used by the

Government services concerned for screening the projects indicate a serious effort to avoid the risks of distortions inherent in such schemes.

But, above all, an appropriate general demand and price policy is the pre-requisite of sound industrial expansion. If domestic demand were to become excessive, there would be little hope for Spanish industry entering gradually in the competitive international markets. And if the present tendency of wages to rise so sharply were to continue, higher industrial prices would soon destroy the potential competitive position of industry both abroad and at home. The Government has formulated a general principle that wage increases should keep in line with productivity gains and has also declared the intention of elaborating an incomes policy. But this principle is meaningful — and capable of being accepted and applied in practice — only if a substantial degree of stability of prices is attained.

d) *The public sector*

A central part of the Development Plan is the programme for public investment whose implementation in 1964 is shown by figures given in Table 12. There are no comparable figures for earlier years. But the

TABLE 12. **PUBLIC INVESTMENT, 1964**

Billions of pesetas.

	CENTRAL GOVERNMENT AND AUTONOMOUS INSTITUTIONS[1]		LOCAL ADMINISTRATION		TOTAL		ORIGINAL FORECAST FOR 1965[4]
	FORECAST	ACTUAL	FORECAST	ACTUAL	FORECAST	ACTUAL	
1. Education	2.4	2.1	1.1	0.3	3.5	2.5	4.3
2. Housing and urban development	12.3	12.5	2.8	3.4	15.2	15.9	16.0
3. Agriculture	3.8	2.9	...	...	3.8	2.9	4.7
4. Irrigation	11.7	9.6	...	...	11.7	9.6	12.1
5. Transport	15.4	13.3	1.6	1.8	17.0	15.1	19.8
6. Other sectors	4.9	2.0	1.9[2]	2.4[2]	6.7	4.4	7.9
7. Total	50.5	42.5	7.4[2]	7.9[2]	57.9	50.4	64.8
8. Subsidies for growth centres (" polos ")	0.7	—	—	—	0.7	—	1.0
9. " Financial investment"	11.8[3]	11.4[3]	0.5	—	12.3	11.4	13.6

1. The breakdown of expenditure between Central Government and autonomous institutions is not available. The present table excludes investment for defence.
2. Includes agriculture and "financial investment".
3. Of which: 8.3 billion pesetas value of bonds issued by the National Institute for Industry (INI).
4. Figures from the Development Plan.

Source: Comisaria del Plan.

TABLE 13. FISCAL RECEIPTS

Billions of pesetas.

	1960	1961	1962	1963	1964	1965 FORE-CASTS
I. DIRECT TAXES:						
1. Tax on income from agricultural property	1.4	1.4	1.4	1.4	1.4	1.4
2. Tax on income from urban property	1.6	1.8	1.9	2.2	2.3	2.5
3. Tax on salaries and professional earnings	5.3	5.9	6.6	7.6	8.3	8.0
4. Tax on income from capital	2.4	2.6	2.9	3.1	3.5	3.9
5. Corporation tax	7.1	7.9	8.9	9.2	9.7	11.8
6. Tax on business licences and on personal profits	2.3	2.5	3.6	4.0	4.6	5.3
7. Sur-tax on personal incomes	1.0	1.0	1.2	1.4	1.6	1.2
8. Inheritance and estate tax	1.3	1.4	1.6	1.6	1.9	2.3
9. Other	1.1	1.1	1.2	1.4	1.6	0.4
TOTAL DIRECT TAXES	23.4	25.6	29.3	31.8	34.9	36.8
II. INDIRECT TAXES:						
1. Transaction taxes and stamp duties	8.5	9.6	10.5	13.0	14.2	9.8
2. Customs duties	5.3	8.2	10.4	12.2	14.1	21.2
3. Fiscal duties on imports	...[1]	...[1]	3.8	4.6	5.7	
4. General tax on expenditure	13.6	15.1	13.7	15.1	17.3	26.1[2]
5. Luxury taxes	6.4	7.3	8.5	10.4	13.3	13.2
6. Fiscal monopolies	5.2	6.8	7.6	7.9	9.6	10.2
7. Other	1.0	0.8	0.7	0.8	1.0	1.1
TOTAL INDIRECT TAXES	40.0	47.8	55.2	64.0	75.2	81.7
TOTAL TAXES	63.4	73.4	84.5	95.8	110.1	118.5

1. Included in general tax on expenditure (Item 4).
2. It includes the new general turnover tax.

Source: Ministry of Finance.

50.4 billion pesetas of total investment by the public sector in 1964 (excluding the so-called financial investment) may be set against the 35.7 billion for 1962 and 44.6 billion for 1963 mentioned in the Plan; these figures imply an increase of about 13 per cent in money terms last year, after one of 25 per cent in 1963. The original forecasts of the Plan for 1965 were about 65 billion. Approximate realisation of these forecasts would imply a very sharp increase — by about 30 per cent. This seems hardly likely, if only for purely technical reasons. But with given technical possibilities (and subject to any big changes in the import content of new investment) a reasonable increase in the volume of public investment can only take place if the over-buoyant types of demand were to be restrained (see pages 25 and 26 above).

The need at present is great for the public sector to contribute to internal financial stability, and this is more than likely to remain the case in the next few years. Even if public consumption rises more moderately in the future and some cut in the less essential transfer payments from the budget is possible, the large programme of public investment will still require an appreciable rise in tax yields; the trend of tax yields over the last few years is shown in Table 13:

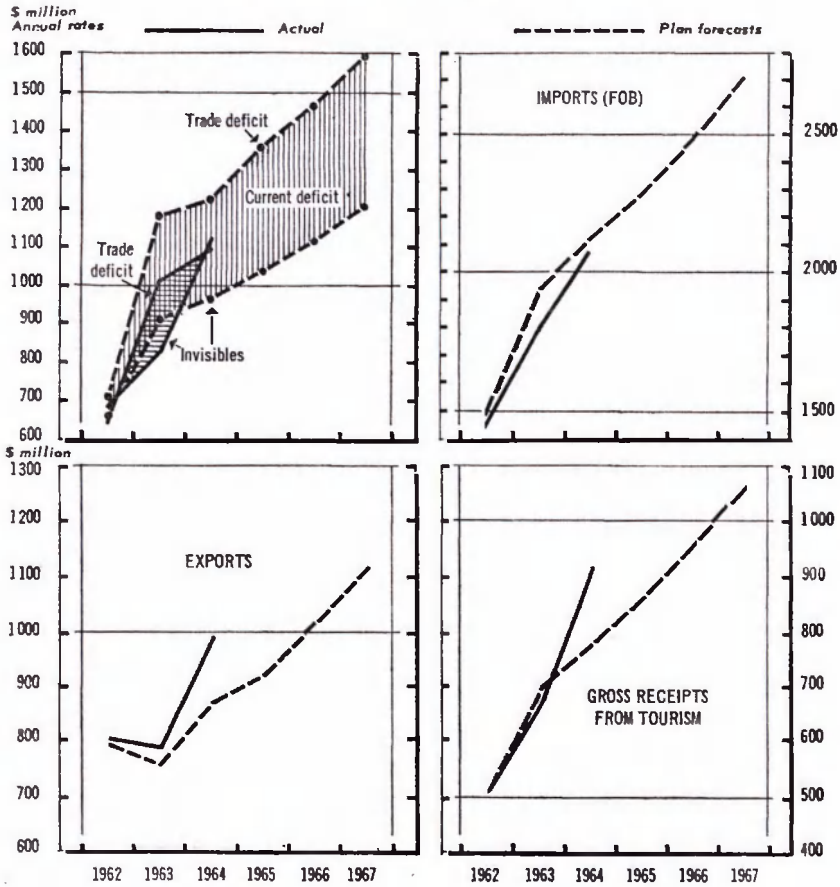
a) Revenue from tariffs and fiscal import duties has made an important contribution so far to the rise of indirect tax yields. However, the previous sharp increase of imports is unlikely to continue indefinitely, and strong reasons of general policy favour a reduction of tariffs. Tax revenue from other sources will, therefore, need to expand at a correspondingly higher rate. In addition, the increasing loss of revenue due to the expanded use of tax exemptions and refunds as incentives for goals sponsored by official policy will have to be offset.

b) The yield of direct taxes lagged behind the increase in other tax receipts; their share in total tax revenue, excluding customs duties, dropped from 40 per cent in 1960 to 36 per cent in 1964. As may be seen in Table 13, the yield of certain direct taxes seems not to have responded sufficiently to the rapid rise of national income in that period. Defects in the tax collection system may be partly responsible; improvements prepared at the time of the fiscal reform of 1964 are designed to correct such defects in the future. Above all, it remains to be seen whether direct taxes in general will become more responsive to income increases when the fiscal reform will be fully applied in due course.

e) *The balance of payements*

Diagram 4 presents the broad balance of payments forecasts of the Development Plan, compared to actual developments to date. In part,

Diagram 4. **BALANCE OF PAYMENTS**[1]



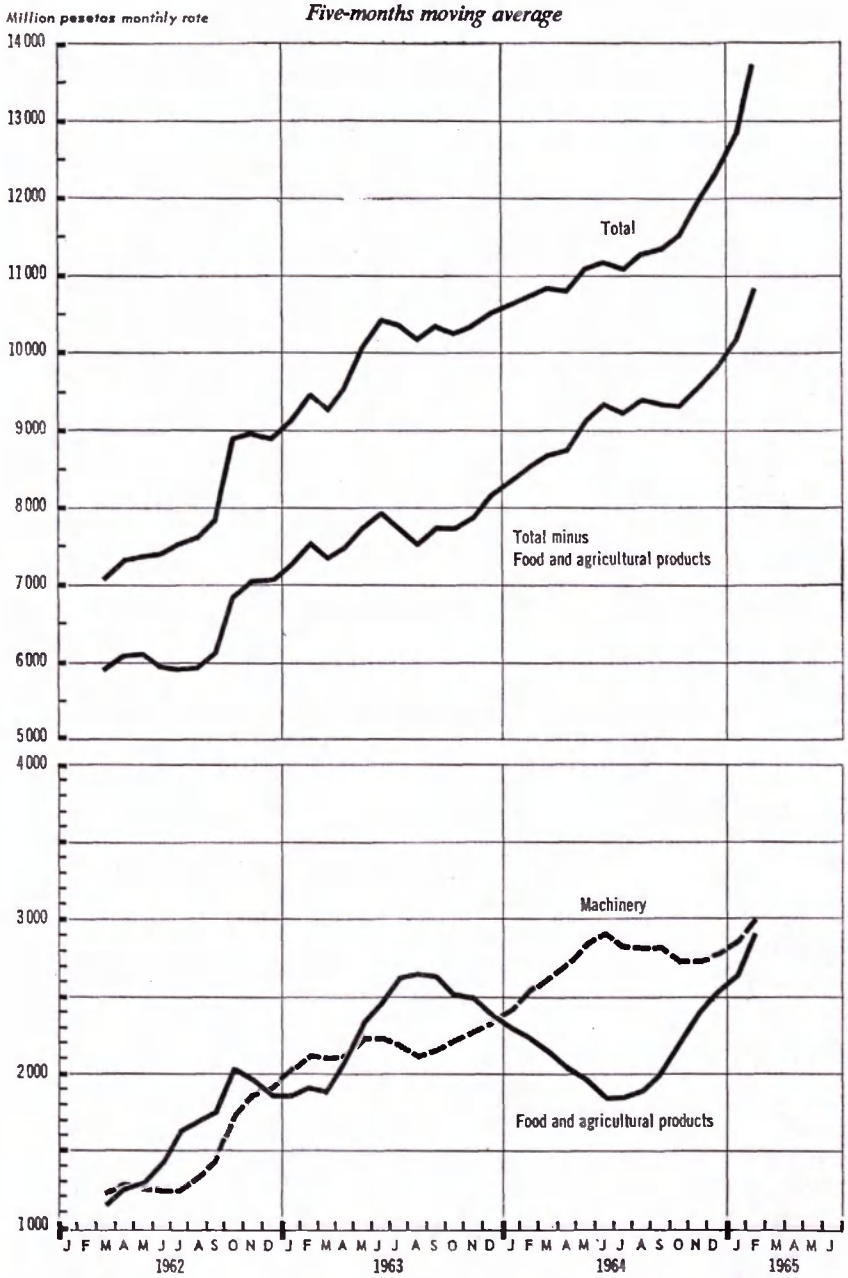
1. Owing to improvements of coverage and classification after the publication of the Development Plan, actual figures and plan forecasts are not exactly comparable in some cases, i.e. different adjustment for imports f.o.b. and the consequent change in the invisibles account and different classification of what was considered capital repatriation and is now included in the unilateral transfers account. These improvements explain the differences in the figures for 1962 shown in the diagram.

Sources: Development Plan and Ministry of Commerce.

the achievements are very satisfactory — notably receipts from tourism and the inflow of foreign capital; the maintenance of internal financial stability is, of course, one of the conditions for continued good results in these two fields. For commodity exports, the Plan set a target of a

Diagram 5. **FOREIGN TRADE**

A. IMPORTS

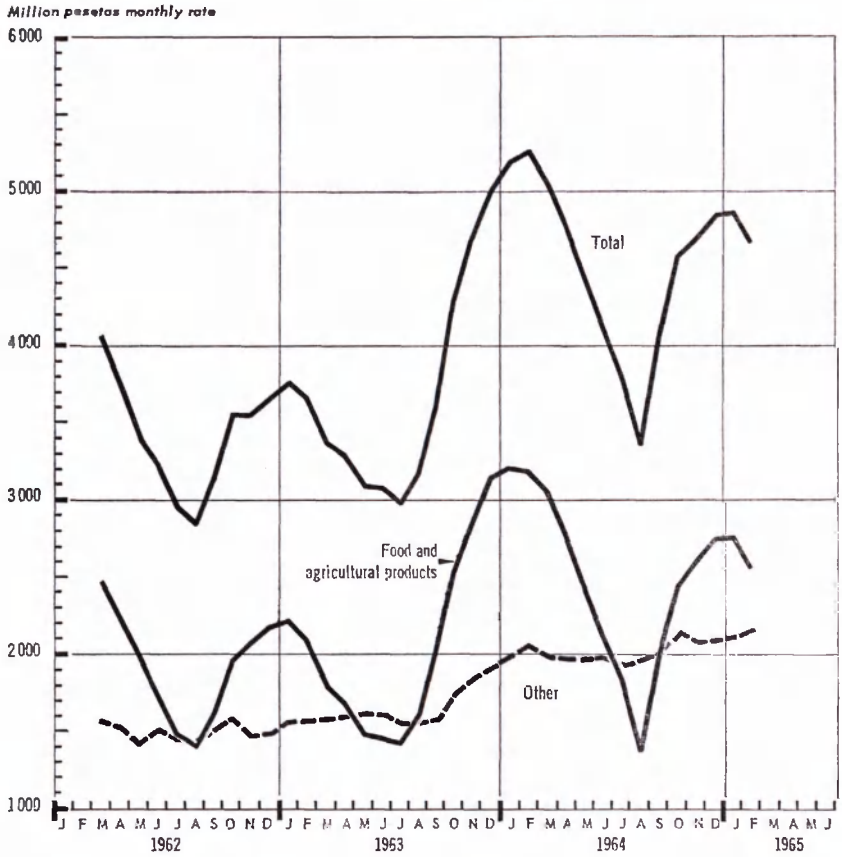


Source: Estadistica de Comercio Exterior. Direccion General de Aduanas.

Diagram 5. **FOREIGN TRADE**

B. EXPORTS

Five-months moving average



Source: Estadistica de Comercio Exterior. Direccion General de Aduanas.

10 per cent average annual increase in volume. Because of the considerable share represented by food and agricultural products, the value of total exports is subject to wide short-term fluctuations. But one of the more encouraging recent developments has been the strong rise of manufactured exports. It is not yet clear how far this increase was achieved in competitive foreign markets; and recent results need to be confirmed before it can be assumed that a new favourable trend has set in. It may be significant that signs of an upward tendency of manufacturing exports have recently

become widespread; and the underlying potential for further expansion is probably very considerable. But Spain's ability to increase her share in world exports of manufactures depends very largely on Spanish prices rising less than those of most Member countries. If the present strains on the price level can be coped with sucessfully, important export gains should be possible in the future.

IV. CONCLUSIONS

Spain has clearly entered a period of rapid economic growth. Both production and demand have continued to increase substantially in 1964 and the first part of 1965; average consumption standards have been rising considerably and industrial investment has been running at a high rate. However, by the early months of the present year it had become clear that prices were generally rising at a rate that threatened Spain's ability to pursue a rational pattern of economic development. The first set of anti-inflationary measures taken last November had not been sufficient to bring the price rise down to an acceptable level. The Government has, therefore, taken new measures recently and is understood to be preparing (June 1965) further corrective action.

The general economic climate has certainly been favourable to rising prices, with both consumers' and investment demand booming, and pressure for higher wages gaining strength from the continued emigration of workers and from the increasing extent to which labour expects and claims a more modern consumption pattern. But the primary cause of price inflation does not seem to lie in any very general excess of demand or in widespread wage-cost push; significant supply/demand imbalances are not apparent outside agriculture and building, a current external surplus was maintained throughout last year, and industrial productivity seems likely, on average, to have been rising until recently about as fast as wages. The pressure seems, largely, to have originated from two sources. At a time when output of certain food products was falling, many agricultural support prices were raised substantially last year, and food imports were reduced; the resulting increase in the cost of living created something like a price-wage spiral which spread to industry. Moreover, demand for house-building, sustained by large official credits and subsidies, combined with rising public and business investment, imposed a heavy over-load on the construction industry. In the absence of additional policy measures, both sources of inflationary pressure would probably have strengthened further in the immediate future.

This analysis suggests that corrective action should be concerned less with any significant general restriction of demand than with a fairly

selective approach. Indeed, in the interest of Spain's development, every effort should be made to avoid dampening the trend of productive investment. But the extent to which it will be possible to avoid such action will depend on the promptness and the importance of the selective anti-inflationary measures. Delay or insufficient action at present are likely to entail more drastic and widespread action later on, with the risk that, as recently experienced elsewhere, the process of economic development is interrupted.

In fact, the measures already announced by the Spanish authorities should make a considerable contribution in combating the inflationary pressures. But they will probably need to be reinforced in the light of further developments. The more important decisions taken concerning demand management include: the suspension of new authorisations for State-supported housebuilding until October and limitations on the numbers of such autorisations from then onwards; tighter conditions for housebuilding credit; and measures to speed-up tax collections and to improve the control of public investment expenditure so as to ensure a balance of public finance in 1965. But continued action will be required in the near future, aimed at restraining private building activity, limiting the rise of public consumption and transfer payments and temporarily moderating the growth of public investment. And, without imposing general credit restrictions, a somewhat tighter monetary policy will probably prove necessary.

Of special importance is the need to prevent any further increases in food prices. If this is not achieved, it will be extremely difficult, in the future, to keep money wage incomes within the limits of the rise of productivity. To this end it would seem essential to avoid any further increases in guaranteed prices to agriculture; in fact, it has already been decided not to change the price of wheat for the new season. The need for a higher volume of food imports has also been recognised by the Government and an enlarged import programme is already being carried out. It seems, moreover, desirable to adopt a more flexible system for food imports, subject to appropriate interventions designed to maintain official minimum prices. So far as industrial prices are concerned the further dismantling of quantitative restrictions (a new liberalisation list has been published in May) reinforced by temporary reductions of import duties could yield prompt beneficial results.

Unlike certain countries, Spain is not constrained from taking such action on balance of payments grounds. The official reserves are relatively high (equivalent to about six months' imports) and the fact that they fell early this year was partly due to seasonal and accidental factors. And Spain is receiving a net inflow of capital from abroad. It would be entirely normal for a country in Spain's stage of development to replace a current account surplus by a deficit which, over an average of years, approximately

matched the capital inflow; this prospect, indeed, was explicitly accepted in the 1964-67 Development Plan. And it would be entirely reasonable for the current account deficit temporarily to exceed the average so long as this resulted from poperly contrived stabilisation policies as opposed to an uncontrolled expansion of home demand.

There is no ineluctible reason why the high growth rate enjoyed by Spain in recent years, and envisaged by the Development Plan for the future, should be accompanied by strong pressure on the price level. All the available evidence suggests that, if policies are appropriate, the general scope for productivity increases is relatively large. In fact, experience in the last few years has shown that the underlying factors of economic development are very strong and that Spanish industry has been making rapid progress towards modernisation. In such circumstances, the fundamental tasks of economic policy are first, to maintain a dynamic equilibrium by preventing strong inflationary pressures; and second, to achieve the greatest possible co-ordination of specific economic policies consistent with the objective of accelerated growth. It is the definition of such guide-lines for policy and the effort of co-ordination of public action in particular fields which constitute the most important elements of the Development Plan for 1964-67. Fortunately, many of the measures which appear necessary for stabilisation today are also appropriate to the achievement of the targets of the Development Plan.

In agriculture, for example, more moderate price-support programmes are not merely a temporary necessity, but an important condition for sound industrialisation in the longer term. Indeed, the possibilities for transfers of real income from industry to agriculture (which is what such programmes amount to) are necessarily limited in a country where a large part of the population is still engaged in agriculture and where industrial productivity is still relatively low, despite the rate at which it has been advancing recently. In any case, excessive price support would tend to maintain production patterns no longer adapted to present needs. Both the general development of the economy and the long-term interests of agriculture would be served best by policies aimed at accelerating the re-adjustment of farm output and investment to the changing patterns of demand, and at promoting efficiency in the production, processing and distribution of agricultural products.

In industry, accelerated abolition of quantitative restrictions on imports is not only important from the point of view of price stability in the shorter run, but is entirely in line with the Government's basic aim of encouraging industrial development on a competitive basis in an open economy. One small example of Spain's ability to move, with profit to the economy as a whole, towards an open economy can be seen from last year's satisfactory growth of exports of manufactured products.

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STATISTICAL ANNEX

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TABLE I. AGRICULTURAL PRODUCTION

	UNIT OR BASE	1956-60 AVERAGES	1961	1962	1963	1964[1]
1. Index of final total agricultural production[2]	1953—1954=100	112.8	127.9	133.7	154.3	139.6
2. Index of final vegetable agricultural production	"	113.6	124.2	129.5	144.7	122.3
3. Index of final livestock production	"	110.6	134.7	141.6	172.3	171.8
4. Wheat	'000 metric tons	4,358	3,431	4,812	4,860	3,966
5. Barley	"	1,772	1,744	2,162	2,070	1,610
6. Rye	"	488	351	453	423	350
7. Oats	"	493	495	513	466	381
8. Rice	"	379	393	392	399	336
9. Maize	"	874	1,067	920	1,171	1,130
10. Potatoes	"	4,784	4,918	4,153	5,075	3,945
11. Tomatoes	"	981	1,205	1,269	1,290	1,300
12. Wine	'000 hectolitres	19,381	20,482	24,508	25,836	29,178
13. Sugar beet	'000 metric tons	3,145	4,423	3,584	2,750	3,348
14. Cotton	"	157	318	335	285	245
15. Olive oil	"	385	361	316	638	150
16. Oranges	"	1,118	1,704	1,213	1,815	1,850
17. Total meat	"	499	651	671	811	854
of which:						
18. Beef and veal	"	141	178	163	172	221
19. Mutton	"	88	104	103	114	111
20. Pork	"	233	239	245	327	331
21. Poultry	"	...	...	110	128	141
22. Milk	million litres	3,207	3,440	3,470	3,732	3,665
23. Eggs	million dozen	262	382	429	579	520
24. Fish landings[3]	thousand tons	...	911	920	915	...

1. Provisional figures.
2. For human consumption.
3. Since 1961, new series.

Source: "Anuario Estadistico" and Ministry for Agriculture.

TABLE II. MINING AND MANUFACTURING PRODUCTION

	UNIT	1958	1959	1960	1961	1962	1963	1964[1]
1. Soft coal	mil. metric tons	11.3	10.9	11.3	11.2	10.0	10.2	9.2
2. Anthracite	"	3.1	2.6	2.5	2.6	2.6	2.8	2.7
3. Iron ore	"	5.0	4.6	5.6	6.0	5.8	5.2	5.3
4. Pyrites	"	2.0	2.1	2.3	2.1	2.2	2.0	2.3
5. Electrical power	billion kWh	16.4	17.4	18.6	20.8	22.9	25.9	29.6
6. Cast iron and ferroalloys	'000 metric tons	1,302.1	1,675.4	1,885.5	2,117.0	2,079.4	1,923	1,816
7. Steel	"	1,560.4	1,823.0	1,919.1	2,325.1	2,265.4	2,804	3,150
8. Copper	"	42.7	51.4	41.8	44.2	45.9	44.7	56.4
9. Lead	"	69.8	68.6	71.6	77.2	71.7	62.1	57.5
10. Aluminium	"	16.1	22.6	28.7	35.5	44.7	46.3	49.5
11. Sulphuric acid[2]	"	1,072.3	1,141.0	1,132.4	1,236.0	1,241.5	1,495	1,663
12. Cement	"	4,817.0	5,164.3	5,234.5	6,073.3	6,721.4	7,134	8,148
13. Paper and cardboard	"	321.0	330.0	342.1	381.5	371.0	513.4	569.9
14. Cotton yarn	"	76.0	72.1	80.8	93.0	90.8	83.3	82.0
15. Cotton fabrics	"	45.2	47.2	60.0	69.8	72.1	67.9	64.3
16. Woollen yarn	"	14.1	12.2	13.0	16.1	15.7	17.3	17.5
17. Woollen fabrics	"	11.1	8.8	9.6	10.0	9.9	11.1	11.8
18. Rayon and viscose	"	49.5	46.8	55.8	47.6	56.4	60.5	62.1
19. Refrigerators	in thousands			29	43	61	243	428[4]
20. Washing-machines	"			77	83	122	227	301[4]
21. Radio sets	"			245	232	322	348	575[4]
22. Television sets	"			39	54	161	209	443[4]
23. Bicycles	"	185.5	160.8	133	145	160	186	...
24. Motor-cycles	"	126.4	108.6	100	134	144	178	190
25. Motor-cars	"	32.6	37.8	39.7	53.2	62.6	79.2	119.3
26. Lorries	"	7.6	12.0	15.4	26.6	40.0	48.1	58.8
27. Tractors	"	2.0	3.3	8.6	11.5	8.3	13.1	12.8
28. Merchant shipping[3]	'000 tons	145	112	158	143	142	188.4	218.6

1. Provisional figures.
2. Not including output of superphosphates factories.
3. Tonnage launched.
4. Figures not on a comparable basis.

Source: Ministry of Industry and "Anuario Estadistico".

TABLE III. BUSINESS SURVEYS[1]

The figures shown represent net balances of business opinion, i.e. the difference between the percentage of positive and negative responses. Neutral responses are ignored.

	1964							1965				
	JUNE	JULY	AUG.	SEP.	OCT.	NOV.	DEC.	JAN.	FEB.	MAR.	APR.	MAY
ALL INDUSTRIES:												
Orders - Actual	3	0	0	3	3	8	—2	—2	—2	1	—1	0
Orders - Expectations	14	10	11	18	17	9	—1	15	18	14	11	4
Stocks - Actual	6	6	7	8	5	6	7	5	4	6	7	8
Output - Expectations	30	25	28	27	25	20	17	26	30	26	23	20
Prices - Expectations	28	31	29	32	36	32	24	29	27	26	26	21
INTERMEDIATE GOODS:												
Orders - Actual	—5	—4	—4	—3	—6	0	—4	—7	—10	—10	—10	—10
Orders - Expectations	10	3	3	10	18	10	1	—7	9	1	5	6
Stocks - Actual	4	1	3	1	5	4	11	7	5	8	9	11
Output - Expectations	14	19	23	22	27	26	19	19	17	14	14	17
Prices - Expectations	18	20	23	26	30	23	17	12	10	6	7	4
INVESTMENT GOODS:												
Orders - Actual	11	14	0	6	8	19	5	5	11	18	15	18
Orders - Expectations	18	15	19	31	25	16	0	27	30	28	11	—12
Stocks - Actual	15	11	11	10	—1	7	0	4	2	4	—3	—2
Output - Expectations	48	31	35	34	28	12	18	32	47	40	37	18
Prices - Expectations	48	41	41	43	55	47	36	50	47	51	49	50
CONSUMER GOODS:												
Orders - Actual	2	10	11	13	11	12	—6	—12	—8	—8	—9	—8
Orders - Expectations	19	20	13	10	9	—4	—19	9	14	18	20	23
Stocks - Actual	9	11	8	12	10	10	12	8	8	15	15	14
Output - Expectations	30	28	28	24	20	18	9	25	27	29	26	14
Prices - Expectations	10	24	27	25	28	26	20	27	27	24	21	28

1. The survey is conducted on a monthly basis; respondents are asked to express their opinion on the current situation and to forecast the direction of change in the 2 or 3 months ahead.

Source: Informe sobre la coyuntura industrial, Ministry for Industry.

TABLE IV. EMPLOYMENT AND EMIGRATION

	1961	1962	1963	1964	1963				1964			
					1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.	1ST QTR.	2ND QTR.	3RD QTR.	4TH QTR.
INDICES OF EMPLOYMENT (*1960 = 100*):												
Total industrial employment	100.5	105.3	106.6[1]	109.7	106.6	106.2	106.1	107.5	107.8	108.3	110.0	111.5
Employment in manufacturing	101.6	108.4	107.6[1]	110.7	107.3	107.0	107.1	108.7	109.0	109.5	111.4	113.0
TOTAL REGISTERED UNEMPLOYMENT (*in thousands*):[2]	124.6	98.5	99.6	129.6	116.8	88.2	85.0	110.5	118.1	115.8	128.9	155.9
Agriculture and fishing	42.6	33.6	32.5	...	46.6	26.2	23.2	34.3	333.1	27.5	44.6	...
Construction	30.3	18.5	15.1	...	15.4	13.6	13.7	18.4	25.1	27.1	22.5	...
Industry and services	51.7	46.4	52.0	...	54.8	48.4	48.1	57.8	59.9	61.3	61.8	...
TOTAL EMIGRATION (*in thousands*)	146.3	186.1	203.0	...								
Europe	108.8	149.9	180.0	216.0								
America	35.7	32.0	22.4	...								
Others	1.8	4.2	0.6	...								

1. Revised series as from January 1963.
2. The recent figures probably reflect an increase in the rate of registration.

Source: National Institute of Statistics and Spanish memorandum to the OECD.

Table V. MONEY AND CREDIT

In billion pesetas.

	1962	1963				1964				1965
	IV	I	II	III	IV	I	II	III	IV	I
I. Money and quasi-money (end of period):										
1. Note circulation	98.0	98.0	100.8	108.0	112.9	112.2	116.0	123.4	131.7	127.5
2. Sight deposits	177.6	173.3	175.9	179.8	204.5	201.8	213.1	224.7	246.0	236.4
3. Money supply (= 1 + 2)	275.5	271.3	276.7	287.8	317.4	314.0	329.1	348.0	377.7	363.9
4. Time deposits with the commercial banks	164.9	173.3	178.9	184.8	191.9	202.0	209.8	218.0	237.8	248.2
5. Time deposits with the savings banks	110.3	116.1	119.4	126.8	135.1	141.7	146.1	155.6	166.6	174.2
II. Credit (end of period unless otherwise specified):										
1. Advances by the Bank of Spain to the public sector:										
a) Central Government	12.7	8.0	4.2	8.6	9.4	13.5	8.1	12.8	10.9	15.5
b) Wheat Agency	7.2	6.6	4.8	7.3	8.0	7.4	7.2	9.2	6.3	5.8
c) Other Public Autonomous Institutions	15.8	16.6	16.0	15.4	18.8	25.2	29.8	32.7	31.4	30.0
2. Issues of public securities (net increase during period indicated)	2.9	1.7	2.0	3.0	7.1	2.0	5.7	2.7	13.3	11.5
3. Advances by the banking system to the private sector	356.1	371.9	392.7	404.0	433.0	439.1	465.4	478.7	524.4	531.7
4. Re-discount by the commercial banks with the Bank of Spain	7.4	7.7	10.6	18.1	16.3	9.6	11.8	11.3	11.8	7.5
5. Portfolio of commercial banks:										
a) Government securities	58.9	58.9	58.9	59.0	59.3	58.9	60.2	60.3	66.8	69.5
b) Private securities	22.7	26.6	22.7	23.0	23.2	23.6	24.3	25.3	25.9	26.0

TABLE V. MONEY AND CREDIT (Continued)

In billion pesetas.

	1962	1963				1964				1965
	IV	I	II	III	IV	I	II	III	IV	I
III. OTHER FINANCIAL STATISTICS (end of period unless otherwise specified):										
1. Government securities used as collateral to obtain loans from the Bank of Spain	46.6	45.3	49.6	58.0	55.3	44.0	43.5	41.4	46.0	40.8
of which: Credits actually used (dispuesto)	18.5	12.3	20.6	10.8	13.4	5.6	6.5	2.3	6.6	6.3
2. Issues of private securities (net increase during the period indicated)	8.9	8.4	11.9	7.4	12.0	8.7	13.2	6.2	12.9	11.3
3. Liquidity ratio of commercial banks (per cent)[1]	14.7	14.7	13.7	16.0	15.8	18.0	17.6	19.5	17.8	18.3
4. Re-discount rate (per cent)	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0	4.0
5. Share price index (1958 = 100)	105.7	108.0	103.8	103.8	98.2	95.0	92.6	91.9	90.7	87.8
6. Public bonds price index (1958 = 100)	109.7	108.4	109.5	107.2	109.7	109.7	107.7	107.7	110.1	108.4
7. Private bonds price index (1958 = 100)	129.1	128.7	127.7	126.3	122.0	124.9	123.7	122.8	122.5	122.4

1. The ratio to total deposits of: cash holdings, plus net balance of accounts with the Bank of Spain, plus the credit available but not utilised against public securities ("disponible"), plus unpledged public securities and other special paper which carry a guarantee of automatic discounting with the Central Bank.

Source: Bank of Spain.

TABLE VI. OFFICIAL CREDIT INSTITUTIONS

In billion pesetas.

	NEW CREDITS APPROVED				CREDITS ACTUALLY USED[1]			
	1961	1962	1963	1964	1961	1962	1963	1964
1. Bank of Agricultural Credit	1.0	1.1	3.3	5.7	1.0	1.1	3.3	3.0
2. Bank of Credit to Construction	4.0	3.4	4.0	10.9	3.2	3.2	3.7	6.4
of which:								
Housebuilding	(1.5)	(1.9)	(1.9)	(4.1)	...	...	...	...
Urban services	(0.3)	(0.1)	(0.6)	(3.4)	...	...	...	...
Teaching institutions	(0.2)	(0.3)	(0.4)	(0.7)	...	...	...	...
Shipbuilding	(2.0)	(1.5)	(2.0)	(2.8)	...	...	...	...
3. Mortgage Bank	1.6	1.4	1.9	1.9	1.5	1.6	1.8	1.9
of which:								
Housebuilding	(0.8)	(0.7)	(1.1)	(0.7)	...	...	...	...
4. Bank of Industrial Credit	1.0	0.4	1.9	6.8	1.0	0.4	1.9	3.8
5. Bank of Local Credit (mainly credit to local authorities)	1.0	1.3	0.6	3.2	0.8	0.4	0.7	2.7
6. Other	0.1	—	0.1	0.1	0.1	—	0.1	0.1
7. Total	8.6	7.3	12.1	28.7	7.6	6.7	11.5	18.0
of which								
8. To private sector	(7.3)	(5.9)	(10.6)	(22.0)	(6.7)[2]	(7.1)[2]	(10.7)[2]	(15.5)[2]
9. To public sector	(1.3)	(1.4)	(1.5)	(6.7)	(1.1)	(0.5)	(1.3)	(3.4)

1. Net of repayments.
2. Includes postponements of repayment, which are not included in Item 7.

Source: Instituto de Crédito a Medio y Largo Plazo, Ministry of Finance.

TABLE VII. FOREIGN TRADE

A. IMPORTS

In million dollars.

	1961	1962	1963	1964	JANUARY-APRIL		
					1963	1964	1965
1. Agricultural and food products	246	316	449	434	114	148	184
2. Minerals	39	46	59	77	90	114	134
3. Oil products	178	247	248	290			
4. Chemicals, plastics and rubber	135	180	220	261	73	91	109
5. Skins, leather and footwear	9	21	26	28	9	10	8
6. Wood and cork	17	25	32	39	8	9	12
7. Pulp, paper and books	29	35	46	56	15	18	23
8. Raw cotton, textiles and clothing	89	103	88	113	28	39	43
9. Cement, glass and pottery	6	9	17	23	4	8	9
10. Metals and metal products	84	152	186	237	65	65	128
11. Machinery and appliances	167	286	431	550	134	172	205
12. Transport equipment	73	112	100	89	32	33	30
of which: cars, lorries and tractors	51	69	68	66	...	...	...
aircraft	18	31	18	9	...	...	...
13. Other	21	36	53	63	15	20	33
14. Total	1,092	1,570	1,955	2,260	587	727	918
15. Total less agricultural and food products	846	1,254	1,506	1,826	473	579	734

Source: "Estadistica del Comercio Exterior" — Direccion General de Aduanas.

Table VII. FOREIGN TRADE

B. Exports

In million dollars.

	1961	1962	1963	1964	JANUARY-APRIL		
					1963	1964	1965
1. Agricultural and food products	391	418	389	510	121	208	159
2. Minerals	35	28	27	32	27	20	19
3. Oil products	42	45	46	38			
4. Chemicals, plastics and rubber	34	36	37	54	13	18	24
5. Skins, leather and footwear	16	17	18	25	...	...	...
6. Wood and cork	21	21	19	27	7	8	9
7. Pulp, paper and books	19	21	24	36	2	5	5
8. Raw cotton, textiles and clothing	58	39	51	53	17	20	17
9. Metals, and metal products	58	40	44	55	14	20	17
10. Machinery and appliances	22	25	26	40	8	12	15
11. Transport equipment	4	28	39	43	6	12	10
of which: Ships	2	24	27	29	...	...	...
12. Other	11	16	16	27	7	11	14
13. Total	710	734	736	941	226	339	294
14. Total less agricultural and foods products	319	316	347	431	105	131	135

Source: "Estadistica del Comercio Exterior" — Direccion General de Aduanas.

TABLE VIII. OFFICIAL GOLD AND FOREIGN EXCHANGE HOLDINGS

In million dollars.

	1959		1960	1961	1962	1963	1964	1965
	JUNE	DEC.	DEC.	DEC.	DEC.	DEC.	DEC.	MAY
1. Gold and convertible currencies	63	199	541	863	1,007	1,903	1,407	1,303
2. Bilateral accounts, including non-convertible bank-notes	—31	18	49	6	22	11	—5	...
3. Short-term liabilities	—36	—109	—90	—3	—	—	—	...
4. Net official reserves	—4	108	500	866	1,030	1,104	1,402	...

Sources: IEME and Bank of Spain.

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